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Paul Schiff Berman & Emma Bjeldanes

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Taking Legal Pluralism Seriously:

Federalism, Diversity Jurisdiction, and the *Erie* Doctrine

By Paul Schiff Berman^{1*} & Emma Bjeldanes^{2}**

Abstract

The U.S. Supreme Court’s watershed decision in Erie Railroad Co. v. Tompkins is sometimes read to require federal judges hearing claims based on federal diversity jurisdiction to apply state law, essentially as if the case were being decided in a state court. The doctrine therefore appears to create a categorical rule disempowering federal courts from ever departing from state law, despite the Constitution’s grant of federal jurisdiction. However, as the Court’s 2026 Erie case, Berk v. Choy, makes clear, sometimes the Erie analysis is used to empower federal courts to override clear state policy choices embodied in state law simply by deciding that the federal law is “procedural” in nature and therefore not covered by Erie. Accordingly, the Erie doctrine as currently practiced creates two opposing categorical rules, each of which dictates either state or federal law based on factors that are largely independent of the actual federalism interests at play. Meanwhile, some judges and scholars are weaponizing Erie to block federal judges from ever engaging in common law adjudication to recognize individual rights, even with regard to federal constitutional or statutory questions, where state law is not implicated at all.

Thus, both the context and purpose of Erie have clearly been lost. Accordingly, we must go back to first principles to recover the federalist core of diversity jurisdiction itself. Drawing on the insights of legal pluralism scholarship, I argue that, instead of asking if the conflict between federal and state law can somehow be categorized as substantive or procedural, the truly meaningful question is whether or not the application of the federal rule in a diversity case will undermine an important state policy choice or upset settled expectations of those choosing to locate in the state. In addition, Erie has absolutely nothing to say about judicial interpretation of federal law because there are no state interests at stake in such cases.

A pluralist perspective can help provide a coherent approach to both diversity jurisdiction and the Erie doctrine. And although such an approach does not render diversity cases easy, it does offer a useful analytical framework, one that seeks to preserve spaces for both federal and state policies to have voice to the largest degree possible, but where federal courts defer to state law in areas where states have crafted solutions that reflect core policy choices, particularly when those policy choices may have generated reliance interests among individuals and corporations located in the state.

^{*} Walter S. Cox Professor of Law, The George Washington University Law School.

^{**} Associate, Kirkland & Ellis.

The U.S. Supreme Court’s watershed decision in *Erie Railroad Co. v. Tompkins*³ casts a long shadow over the jurisprudence of the federal court system. The ruling purports to require federal judges hearing claims based on federal diversity jurisdiction to apply state law, essentially as if the case were being decided in a state court.⁴ The doctrine therefore appears to create a categorical rule disempowering federal courts from ever departing from state law, despite the Constitution’s grant of federal jurisdiction.⁵ However, as the Court’s 2026 *Erie* case, *Berk v. Choy*,⁶ makes clear, sometimes the *Erie* analysis is used to empower federal courts to *override* clear state policy choices embodied in state law simply by deciding that the federal law is “procedural” in nature and therefore not covered by *Erie*.⁷ Accordingly, the *Erie* doctrine creates two opposing categorical rules, each of which dictates either state or federal law based on factors that are largely independent of the actual federalism interests at play.

Meanwhile, some judges and scholars are using *Erie* far from the federalism context in which the case first arose. In this non-federalist approach, *Erie* becomes simply a general edict that federal judges are not permitted to apply common law interpretive glosses even with regard to federal constitutional or statutory questions, where state law is not implicated at all. Thus, *Erie* has been weaponized in the ongoing war against so-called “judicial activism”⁸ regarding the interpretation of federal law, despite the fact that such cases have nothing to do with federal-state relations.

The various doctrinal confusions concerning the *Erie* doctrine are also reflected in the scholarly literature. Theorists continue to debate what the constitutional basis for the *Erie* decision even is,⁹ given that Justice Brandeis’ opinion for the Court is circumspect on the question. And in recent years, some scholars have returned to *Swift v. Tyson*,¹⁰ the nineteenth-century decision *Erie* overruled, in order to argue that *Erie* itself was wrongly decided and that *Swift* provides the better approach.¹¹ One scholar has even gone so far as to nominate *Erie* as one

³ 304 U.S. 64 (1938).

⁴ *See id.* at 64, 78.

⁵ Indeed, the U.S. Supreme Court has at times interpreted *Erie* to require federal courts to use state law any time the difference between state and federal law would affect the outcome of the case in any way. *See infra* notes 213–14 and accompanying text.

⁶ 607 U.S. __ (2026).

⁷ *See id.*, slip op. at 3 (“[A] valid Rule of Civil Procedure displaces contrary state law even if the state law would qualify as substantive under *Erie*’s test.”).

⁸ Suzanna Sherry, *Wrong, Out of Step, and Pernicious: Erie as the Worst Decision of All Time*, 39 PEPP. L. REV. 129, 151 (2011) (arguing that *Erie* has in recent years been “drafted into service in the war against judicial activism”).

⁹ *See infra* Part IIIC.

¹⁰ 4 U.S. (16 Pet.) 1 (1842).

of the worst Supreme Court decisions of all time.¹² Yet, the Supreme Court has shown no interest in jettisoning *Erie* and, as noted above, has at times even expanded *Erie* to apply in cases far removed from *Erie*'s basic context.¹³ In addition, *Berk v. Choy* is sure to open a new wave of *Erie* doctrine litigation, as the implications of the decision reverberate through the lower courts.

So, the time is ripe to revisit both *Erie* and *Swift* and go back to first principles to more precisely conceptualize the fundamental federalist interaction that underlies the whole idea of federal court diversity jurisdiction. Such a reconceptualization, I argue, would provide a more coherent framework for applying *Erie* in difficult cases, assuming *Erie* remains the law of the land. And if the Supreme Court ever seeks to overturn *Erie*, this framework provides a more robust understanding of how diversity jurisdiction might more productively operate in a post-*Erie* world.

The canonical *Erie* formulation is that federal courts must apply state substantive law, but they can still use federal procedural law to adjudicate the state law claim.¹⁴ Yet, that formulation obscures as much as it clarifies, because the line between substantive and procedural law is not easily drawn.¹⁵ Moreover, many procedural rules actually embody clearly substantive policy goals, and certainly those procedural rules can have large substantive effects on case outcomes. So, it is not good enough to simply label a rule either procedural and substantive and make the determination of whether state law or federal law applies based only on that categorization.

Instead, this Article draws on the insights of scholarship on legal pluralism¹⁶ in order to recover the fundamental interaction between state and federal law that is the true core of

¹¹ See, e.g., Robert R. Gasaway & Ashley C. Parrish, *In Praise of Erie—And Its Eventual Demise*, 10 J.L. ECON. & POL'Y 225, 233–34 (2013); Sherry, *supra* note 6, at 137–42; Stephen Sachs, *Finding Law*, 107 CALIF. L. REV. 527, 572 (2019).

¹² See Sherry, *supra* note 6, at 132.

¹³ See *infra* Part V.

¹⁴ *Hanna v. Plumer*, 380 U.S. 460, 465 (1965).

¹⁵ See, e.g., *Gasparini v. Ctr. for Humanities, Inc.*, 518 U.S. 415, 427 & n. 7 (1996) (“Classification of a law as ‘substantive’ or ‘procedural’ for *Erie* purposes is sometimes a challenging endeavor.”); see also, e.g., David Crump, *The Twilight Zone of the Erie Doctrine: Is There Really a Different Choice of Equitable Remedies in the “Court a Block Away”?*, 1991 WIS. L. REV. 1233, 1242, 1272 (1991) (observing that the Supreme Court has produced a “muddled soup of inconsistent principles” governing the substance–procedure distinction, which continue to coexist without resolution or overruling); Richard Freer, *Erie’s Mid-Life Crisis*, 63 TUL. L. REV. 1087, 1132, 1134 (1987) (explaining that the substance–procedure distinction “works well enough” at the “polar extremes,” but breaks down in the middle ground, leaving courts with an “unguided *Erie* choice” that often leads to unjustified extension of federal law).

¹⁶ For a brief summary of legal pluralism scholarship, see generally Paul Schiff Berman, *The New Legal Pluralism*, 5 ANN. REV. L. & SOC. SCI. 225 (2009); Sally Engle Merry, *Legal Pluralism*, 22 L. & SOC'Y REV. 869 (1988) [hereinafter Merry, *Legal Pluralism*]; Keebat von Benda-Beckmann & Bertram Turner, *Anthropological Roots of Global Legal Pluralism* in OXFORD HANDBOOK OF GLOBAL LEGAL PLURALISM (Paul Schiff Berman ed., 2020).

diversity jurisdiction. The key, I argue, is to take seriously the hybrid legal space that is created when federal and state courts adjudicate common legal issues. And a pluralist approach to this hybrid legal space provides a useful analytical framework for addressing the conflicts between federal and state law that will inevitably arise.

Indeed, although law often operates based on the convenient fiction that human activity is only subject to the rules of one legal system at a time, jurisdictional overlap is unavoidable, and law therefore must inevitably negotiate situations when multiple communities and legal authorities seek to regulate the same act or actor. Scholars studying the interactions among these multiple communities have often used the term “legal pluralism” to describe the intermingling of these normative systems.¹⁷

But beyond simply recognizing and describing the inevitable overlap and contestation of legal regimes, legal pluralism might also be understood to support a normative vision.¹⁸ Communities drawing on the insights of legal pluralism might sometimes affirmatively *seek to create or preserve spaces for productive interaction among multiple, overlapping communities and legal systems by developing procedural mechanisms, institutions, and practices that aim to bring those communities and systems into dialogue rather than dictating norms hierarchically*.¹⁹

Federalism is one such example of pluralism being used to create intersystemic dialogue.²⁰ The framers of the U.S. Constitution, for both philosophical and pragmatic reasons, deliberately created a pluralist system with many state legal regimes operating along with a federal one.²¹ Thus, we have a system of multiple sovereignties, jurisdictional overlap, and near-constant contestation both among the various states and between the states and the federal

¹⁷ See, e.g., Sally Falk Moore, *The Semi-Autonomous Social Field as an Appropriate Subject of Study*, 7 L. & SOC'Y REV. 719 (1973) (introducing the concept of overlapping arenas in which norms are generated and enforced alongside state law).

¹⁸ See Paul Schiff Berman, *Global Legal Pluralism as a Normative Project*, 8 U.C. IRVINE L. REV. 149 (2018) [hereinafter Berman, *Global Legal Pluralism as a Normative Project*] (arguing that legal pluralism supports institutional mechanisms that promote dialogue, hybridity, and mutual accommodation across legal systems).

¹⁹ For an elaboration of how this normative vision might impact the design of procedural and governmental systems, see generally PAUL SCHIFF BERMAN, *GLOBAL LEGAL PLURALISM: A JURISPRUDENCE OF LAW BEYOND BORDERS* (2012) [hereinafter BERMAN, *GLOBAL LEGAL PLURALISM*].

²⁰ Erin Ryan, *Federalism as Legal Pluralism* in OXFORD HANDBOOK OF GLOBAL LEGAL PLURALISM (Paul Schiff Berman ed., 2020) [hereinafter Ryan, *Federalism as Legal Pluralism*] (conceptualizing federalism as a pluralist system of overlapping legal authorities that rejects zero-sum governance).

²¹ Robert M. Cover, *The Uses of Jurisdictional Redundancy: Interest, Ideology, and Innovation*, 22 WM & MARY L. REV. 639 (1981) [hereinafter Cover, *The Uses of Jurisdictional Redundancy*] (arguing that overlapping jurisdiction fosters norm development, innovation, and error correction rather than merely inefficiency); Judith Resnik, *Law's Migration: American Exceptionalism, Silent Dialogues, and Federalism's Multiple Ports of Entry*, 115 YALE L.J. 1564 (2006) [hereinafter Resnik, *Law's Migration*] (demonstrating how federalism creates multiple pathways for the absorption and transformation of legal norms).

government. This is clearly a messy system, and it results in regulatory uncertainty as people and corporations navigate the multiple legal authorities of the federalist structure. On the other hand, our pluralist federalist system has clear advantages as well. Voices unheard in one forum can try again in another. States can be “laboratories” of democracy,²² trying out distinct regulatory or jurisprudential approaches. Maintaining multiple sovereignties can help prevent any one governmental force from accreting too much power to itself.²³ And so on. Indeed, the pluralist core of our system of federalist contestation allows the various cultural and political tensions in American society to play out through the system itself, which arguably contributes to long-term stability.

From the perspective of legal pluralism, diversity jurisdiction as originally practiced in the federal courts is an example of legal pluralism in action. Indeed, part of the purpose of diversity jurisdiction was to provide an alternative federal forum to protect against the possibility of state parochialism or bias in adjudicating interstate disputes.²⁴ But from that perspective, simply having a federal life-tenured judge, rather than a state elected one, would likely be insufficient to protect the interests of the out-of-state party. After all, a federal judge is still a citizen of the state where the federal court sits. Indeed, the federal judge is likely to be a member of the same elite legal circles in the state as the state court judges, and all the judges—state and federal—will frequently share the same social class, networks of friends, and perspectives on the world.²⁵ And of course jurors in federal court are also citizens of the state where the court sits.²⁶

²² See, e.g., *New State Ice Co. v. Liebmann*, 285 U.S. 262, 311 (1932) (Brandeis, J., dissenting) (“It is one of the happy incidents of the federal system that a single courageous State may, if its citizens choose, serve as a laboratory; and try novel social and economic experiments without risk to the rest of the country.”); see also, e.g., *Truax v. Corrigan*, 257 U.S. 312, 344 (1921) (Holmes, J., dissenting) (“There is nothing that I more deprecate than the use of the Fourteenth Amendment beyond the absolute compulsion of its words to prevent the making of social experiments that an important part of the community desires, . . . even though the experiments may seem futile or even noxious to me.”).

²³ See David Landau, Hannah J. Wiseman & Samuel R. Wiseman, *Federalism for the Worst Case*, 105 IOWA L. REV. 1187 (2020) (arguing that decentralized institutions function as structural safeguards against democratic erosion and authoritarian consolidation). As one commenter has observed:

[S]tates have vast amounts of power, far more than we tend to realize because we’ve never been in a position where the mundane daily activities of state and local government have become so critical — its taxing powers, its policing powers, the ways in which the federal government actually struggles to effectively extend its powers to the local level at scale without the active participation of local government. Understanding the critical role of the sovereign powers of the states as a redoubt beyond the reach of Trump’s increasingly autocratic power is really the entire game right now, at least for the next 18 months and, in various measures, almost certainly through the beginning of 2029.

Josh Marshall, *More Thoughts on How We Should Be Thinking About the Critical Role of the States*, TALKING POINTS MEMO (Dec. 2, 2025), <https://perma.cc/MS2Q-6HDY>.

²⁴ See *infra* text accompanying notes 100–09.

²⁵ Cf. Teresa A. Sullivan, Elizabeth Warren & Jay Lawrence Westbrook, *The Persistence of Local Legal Culture: Twenty Years of Evidence from the Federal Bankruptcy Courts*, 17 HARV. J.L. & PUB. POL’Y 801, 841 (1994)

Thus, if the goal of diversity jurisdiction is to provide an alternative forum to protect against parochialism, it would seem that simply having federal judges apply the same state law norms is insufficient; instead, they should also be allowed to develop an independent judgment about the *content* of common law norms.

In the pre-*Erie* world, both state and federal courts did in fact evolve the emerging American common law in tandem.²⁷ On matters of what became known as “general” common law—where there was no specific local state statute that expressed a clear state policy choice—state and federal courts could interpret (or create) common law rules in parallel, each influencing the other, citing the other, and deferring to the other.²⁸ This was the legal world both reflected in and ratified by the U.S. Supreme Court’s decision in *Swift v. Tyson*.²⁹

Of course, such a world—where federal and state courts co-evolve common law rules—only works from a pluralist perspective as long as both groups of judges are careful to consider the relative interests of the state and federal governments on each issue, such that the co-evolution of norms occurs as a roughly equal partnership. However, arguably federal courts began to diverge further and further from state courts in their interpretation of the common law,³⁰ and at least according to some critics at the time the federal courts began to impose broad common law rules that favored national corporate interests over state policies.³¹ Thus, instead of co-evolution, the *Swift* set-up became, in the eyes of some, an opportunity for federal courts to undermine state policy choices.

Erie can therefore be seen as a necessary corrective to federal court overreach. But as is often the case with legal rules, in *Erie* and subsequent cases, the Court over-corrected and required federal courts to apply state law with regard to every detail and every particular, regardless of the importance of the federal interests that might be at stake.³² Then, in *Hanna v.*

(“[J]udges most often come out of the local bar socialized to conform by the small, specialized group of local lawyers and courthouse officials with whom they interact.”).

²⁶ It is true that, because the geographical boundaries of state and federal districts differ, the juror pools in state and federal courts are different from each other (which may matter to litigants), but from the point of view of federalism, the key point is that all the jurors are residents of the state.

²⁷ See *infra* Part III.

²⁸ See *infra* notes 203–09 and accompanying text.

²⁹ 41 U.S. (16 Pet.) 1 (1842).

³⁰ See *infra* text accompanying notes 143–51.

³¹ See, e.g., Charles Warren, *New Light on the History of the Federal Judiciary Act of 1789*, 37 HARV. L. REV. 49, 84–88 (1923); Felix Frankfurter, *Distribution of Judicial Power Between United States and State Courts*, 13 CORN. L.Q. 499, 529 (1928).

Plumer,³³ the pendulum shifted back the other way and over-corrected again, such that as long as a court could identify a potentially relevant federal procedural rule passed pursuant to the Rules Enabling Act,³⁴ the Court could use that federal rule, even if it ran roughshod over *state* interests.³⁵ The U.S. Supreme Court’s 2026 decision in *Berk v. Choy*³⁶ reflects this pendulum swing, formalistically declaring that any federal procedural rule that is arguably applicable should automatically be used in federal diversity cases, without even so much as considering the substantive policy aims of the state’s contrary rule.³⁷

Meanwhile, *Erie*’s pronouncement that federal courts should no longer use this general federal common law in interpreting state common law norms³⁸ has too often been transformed into a more generalized edict about federal courts using common law methodology even when interpreting *federal* law.³⁹ For example, when a federal court is asked to interpret constitutional norms in civil rights suits or use international law norms to interpret a federal statute, some say that such interpretative work violates *Erie*,⁴⁰ even though those cases have absolutely nothing to do with the pluralist balance between federal and state law.

It seems clear, therefore, that application of the *Erie* doctrine has lost its way. In order to make sense of *Erie* itself (or a post-*Erie* world if *Erie* is ever overturned), we need to take seriously the pluralism at the core of diversity jurisdiction. Instead of asking if the conflict between federal and state law can somehow be categorized as either a substantive or procedural issue, the truly meaningful question is whether or not the application of the federal rule in a diversity case will undermine an important state policy choice or upset settled expectations of those choosing to locate in the state. To be sure, the U.S. Supreme Court⁴¹ (or individual justices⁴²

³² *E.g.*, *Guaranty Tr. Co. v. York*, 326 U.S. 99, 109 (1945); *Ragan v. Merchs. Transfer & Warehouse Co.*, 337 U.S. 530, 532 (1949); *Woods v. Interstate Realty Co.*, 337 U.S. 535, 538 (1949), *Cohen v. Beneficial Indus. Loan Corp.*, 337 U.S. 541, 555 (1949).

³³ 380 U.S. 460 (1965).

³⁴ 28 U.S.C. § 2072.

³⁵ *Shady Grove Orthopedic Assocs., P.A. v. Allstate Ins. Co.*, 559 U.S. 393, 440–41 (2010) (Ginsburg, J., dissenting).

³⁶ 607 U.S. __ (2026).

³⁷ *Id.*, slip op. at 7 (“[W]e underscore that ‘the substantive nature of [a state] law, or its substantive purpose, *makes no difference*.’ To determine whether a Rule is valid under the Rules Enabling Act, the only question is whether it ‘really regulates procedure.’”) (emphasis in original) (citations omitted).

³⁸ *Erie*, 304 U.S. at 78 (“[W]hether the law of the state shall be declared by its Legislature in a statute or by its highest court in a decision is not a matter of federal concern. There is no federal general common law.”).

³⁹ *See infra* Part V.

⁴⁰ *See id.*

⁴¹ *E.g.*, *Gasparini*, 518 U.S. at 437–38; *Byrd v. Blue Ridge Elec. Co-op, Inc.*, 356 U.S. 525, 540 (1958).

) have at times employed this sort of framework to analyze knotty *Erie* problems. But the Court should more explicitly make clear that the point of *Erie* is not simply to categorize the conflicts between state and federal law as substantive or procedural, but to weigh the competing governmental interests at stake, just as courts often do in horizontal state-to-state choice-of-law cases.⁴³ And if *Erie* is ever jettisoned, then diversity jurisdiction should return to its original co-evolutionary project, where state and federal court judges seek to balance state and federal interests in each case, while engaging in an ongoing judicial dialogue that is neither purely dominance nor purely subservience.⁴⁴ Finally, the Court should make clear that *Erie* has absolutely nothing to say about common law interpretation of federal law because there are no state interests at stake in such cases.

Thus, a pluralist perspective can help provide a coherent approach to both diversity jurisdiction and the *Erie* doctrine. And although such an approach does not render diversity cases easy, it does offer a useful analytical framework, one that seeks to preserve spaces for both federal and state policies to have voice to the largest degree possible, but where federal courts defer to state law in areas where states have crafted solutions that reflect core policy choices, particularly when those policy choices may have generated reliance interests among individuals and corporations located in the state. This approach takes federalism seriously by applying what conflicts-of-law scholars will recognize as a form of interest analysis⁴⁵ to the vertical choice-of-law problems inherent in every diversity case.⁴⁶

The argument proceeds in five parts. Part II introduces and provides a brief overview of the vast literature on legal pluralism, emphasizing both its descriptive and normative dimensions. Part III discusses the text and history surrounding the Article III grant of diversity jurisdiction and then surveys scholarship on *Swift* and *Erie*, emphasizing both the different scholarly approaches to diversity jurisdiction questions and the confusion surrounding the justification for *Erie* itself. Part IV demonstrates how a pluralist approach takes seriously the federalism at the

⁴² *Hanna*, 380 U.S. at 474–78 (Harlan, J., concurring); *Shady Grove*, 559 U.S. at 440–41 (Ginsburg, J., dissenting).

⁴³ See RESTATEMENT (SECOND) OF CONFLICT OF LAWS § 6(2) (1971) (codifying this interest–balancing approach).

⁴⁴ See Robert B. Ahdieh, *Between Dialogue and Decree: International Review of National Courts*, 79 N.Y.U. L. REV. 2029, 2049–62 (2004) (developing a model of “dialectical review” to describe non–hierarchical judicial interactions that combine dialogue with limited coercive power); ROBERT A. SCHAPIRO, POLYPHONIC FEDERALISM (2009); Ryan, *Federalism as Legal Pluralism*, *supra* note 18.

⁴⁵ See BRAINERD CURRIE, SELECTED ESSAYS ON THE CONFLICTS OF LAW (1963); Brainerd Currie, *Notes on Methods and Objectives in the Conflicts of Laws*, 1959 DUKE L.J. 171 (1959); Brainerd Currie, *The Constitution and the Choice of Law: Governmental Interests and the Judicial Function*, 26 U. CHI. L. REV. 9 (1958); Brainerd Currie, *On the Displacement of the Law of the Forum*, 58 COLUM. L. REV. 964 (1958).

⁴⁶ Moreover, the best approach to some *Erie* problems may also draw from the choice–of–law doctrine of *dépeçage*, see *Dépeçage*, BLACK’S LAW DICTIONARY (12th ed. 2024), where a court uses an amalgam of state and federal law. See, e.g., *Gasperini*, 518 U.S. at 435–39.

core of diversity jurisdiction and explains how that approach can fruitfully be applied either to cases decided pursuant to *Erie* or more generally if *Erie* were ever overruled. Finally, Part V explores a set of cases where the U.S. Supreme Court has erroneously applied *Erie* to disputes arising only regarding federal law. Here, I argue that whatever the proper resolution of such cases might be, *Erie* is irrelevant given that the core federalism context of *Erie* is entirely absent.

PART II: LEGAL PLURALISM

Federalism in the United States is often discussed in terms of sovereignty.⁴⁷ Thus, we are told that the colonies were originally completely separate sovereign entities and that though they ceded some authority to the federal government, they retained their sovereign prerogatives.⁴⁸ Accordingly, so the story goes, we live in a system of 51 sovereignties, and discussions of federalism are about how best to negotiate the relative power of these different sovereign entities.⁴⁹

This, however, is not the only way of thinking about federalism. Indeed, there is a different story we could tell, perhaps best captured in the oft-quoted idea of the states as “laboratories” of democracy.⁵⁰ Here the federal system is important not so much because such a system maintains the autonomy of different sovereign entities, but because it provides the opportunity for multiple decision-makers to try out different solutions to similar problems. The dialogue among the multiple decisionmakers may cause better solutions to spread through the system or it may cause decisionmakers to recognize that varying solutions may be appropriate given varying local conditions. Either way, the overlapping jurisdiction of federal and state entities is seen as opening the possibility for creative innovation.

Perhaps just as important, when multiple governmental entities hold overlapping jurisdictional power, then one entity can sometimes resist the other, and even the threat of

⁴⁷ See *Alden v. Maine*, 527 U.S. 706, 714 (1999) (describing the federal system as one which “preserves the sovereign status of the States” by reserving to them “a substantial portion of the Nation’s primary sovereignty”); *Gregory v. Ashcroft*, 501 U.S. 452, 457 (1991) (explaining that the Constitution’s “federalist structure of joint sovereigns,” recognizes States as “possess[ing] sovereignty concurrent with that of the Federal Government”); Lea Brilmayer & Ronald D. Lee, *State Sovereignty and the Two Faces of Federalism: A Comparative Study of Federal Jurisdiction and the Conflict of Laws*, 60 NOTRE DAME L. REV. 833 (1985) (describing the Supreme Court’s federalism doctrine as centrally concerned with “state sovereignty”).

⁴⁸ See *Murphy v. Nat’l Collegiate Athletic Ass’n*, 584 U.S. 453, 470 (“When the original States declared their independence, they claimed the powers inherent in sovereignty. The Constitution limited but did not abolish the sovereign powers of the States, which retained a residuary and inviolable sovereignty.” The *Federalist* No. 39 at 245 (James Madison) (C. Rossiter ed. 1961). Thus, both the Federal Government and the States wield sovereign powers, and that is why our system of government is said to be one of ‘dual sovereignty.’ *Gregory*, 501 U.S. at 457.”).

⁴⁹ See *New York v. United States*, 505 U.S. 144 (1992) for an example of this conceptual framework.

⁵⁰ See *supra* note 20 and accompanying text.

resistance exerts hydraulic pressure. Each governmental entity must grapple with the reality that it holds relative, rather than absolute, authority,⁵¹ and facing that reality can cause governmental leaders to think twice before asserting power, particularly power that is likely to spur resistance. All of these benefits of an overlapping jurisdictional scheme may be understood as providing a pluralist justification for federalism.

In general, theorists of pluralism start from the premise that people belong to (or feel affiliated with) multiple groups and understand themselves to be bound by the norms of these multiple groups.⁵² Such groups can, of course, include familiar political affiliations, such as nation-states, states within a federation, counties, towns, and so on. But many community affiliations, such as those held by transnational or subnational ethnic groups, religious institutions, trade organizations, unions, social media groups, and a myriad of other “norm-generating communities”⁵³ may at various times exert tremendous power over our actions even though they are not part of an “official” state-based system. Indeed, as scholars of legal pluralism have long noted, “not all the phenomena related to law and not all that are law-like have their source in the government.”⁵⁴

Legal pluralists have also focused on those situations in which two or more state and non-state normative systems occupy the same social field and must negotiate the resulting hybrid legal space. Historically, anthropologically-oriented legal pluralists studied the overlapping normative systems created during the process of colonization.⁵⁵ For example, early Twentieth-Century studies of indigenous law among tribes and villages in colonized societies noted the simultaneous existence of both local law and European law.⁵⁶ For example, British colonial law incorporated Hindu, Muslim, and Christian personal law into its administrative framework.⁵⁷ This

⁵¹ See NICOLE ROUGHAN, *AUTHORITIES: CONFLICTS, COOPERATION, AND TRANSNATIONAL LEGAL THEORY* (2013).

⁵² See, e.g., AVIGAIL I. EISENBERG, *RECONSTRUCTING POLITICAL PLURALISM* 2 (1995) (pluralist theories “seek to organize and conceptualize political phenomena on the basis of the plurality of groups to which individuals belong and by which individuals seek to advance and, more important, to develop, their interests”).

⁵³ Robert M. Cover, *The Supreme Court, 1982 Term—Foreword: Nomos and Narrative*, 97 HARV. L. REV. 4, 43 (1983) [hereinafter Cover, *Nomos and Narrative*] (theorizing law as embedded in normative worlds generated by communities, and distinguishing jurisgenerative from jurispactic legal authority).

⁵⁴ Sally Falk Moore, *Legal Systems of the World*, in *LAW AND THE SOCIAL SCIENCES* 15 (Leon Lipson & S. Wheeler eds., 1986). See also Gunther Teubner, *The Two Faces of Janus: Rethinking Legal Pluralism*, 13 CARDOZO L. REV. 1443 (1992) (“[L]egal pluralism is at the same time both: social norms and legal rules, law and society, formal and informal, rule-oriented and spontaneous.”). But see Brian Z. Tamanaha, *The Folly of the ‘Social Scientific’ Concept of Legal Pluralism*, 20 J. L. & SOC’Y 192, 193 (1993) (arguing that such a broad view of “law” causes law to lose any distinctive meaning).

⁵⁵ See Merry, *Legal Pluralism*, *supra* note 14, at 869–72 (summarizing the literature).

⁵⁶ See, e.g., BRONISLAW MALINOWSKI, *CRIME AND CUSTOM IN A SAVAGE SOCIETY* (1926).

early pluralist scholarship focused on the coexistence of what were imagined to be quite separate legal systems, layered one on top of the other. These pioneering studies established the key insights of legal pluralism: a recognition that multiple normative orders exist, a focus on the dialectical interaction between and among these normative orders, and an identification of the ways in which actors strategically use the existence of multiple fora to pursue their agendas.⁵⁸

In the 1970s and 1980s, anthropological scholars of pluralism complicated the picture in two significant ways. First, they questioned the hierarchical model of one legal system simply dominating the other and instead argued that plural systems are often only semi-autonomous, operating within the framework of other legal fields, but not entirely governed by them.⁵⁹ As a result, scholars could conceptualize the interaction between legal systems as bi-directional, with each influencing (and helping to constitute) the other.⁶⁰ And though these studies continued to focus on less official forms of legal and quasi-legal regulation, this recognition of jurisdictional overlaps among multiple normative systems and the inevitable strategic interaction among them provides a useful template for studying federalism.

So, how should law respond to the reality of multiple overlapping legal systems? Often, these hybrid legal spaces are viewed simply as a problem to be solved. (This is perhaps why forum-shopping is often referenced pejoratively.⁶¹) As a result, even when jurisdictional overlap or regulatory interdependence is undeniable, we see what Robert Ahdieh has termed “the standard dualist response.”⁶² Law seeks to delimit each entity’s jurisdiction and authority more effectively and thereby eliminate such overlap. This paradigm of jurisdictional line drawing has been prevalent in discussions of federalism,⁶³ as courts and scholars try to demarcate distinct spheres for state and federal authority. And perhaps such reactions are not surprising because “they reflect some visceral sense of law’s project as one of categorization, clear definition, and line-drawing.”⁶⁴

⁵⁷ Sally Engle Merry, *International Law and Sociolegal Scholarship: Toward a Spatial Global Legal Pluralism*, 41 *STUD. L. POL. & SOC’Y* 149 (2008).

⁵⁸ See Merry, *Legal Pluralism*, *supra* note 14, at 873.

⁵⁹ See, e.g., Moore, *The Semi-Autonomous Social Field*, *supra* note 15; Robert L. Kidder, *Toward an Integrated Theory of Imposed Law in THE IMPOSITION OF LAW* 289 (Sandra B. Burman & Barbara E. Harrell-Bond eds. 1979).

⁶⁰ See, e.g., Peter Fitzpatrick, *Law and Societies*, 22 *OSGOODE HALL L.J.* 115 (1984).

⁶¹ See, e.g., Kevin M. Clermont & Theodore Eisenberg, *Exorcising the Evil of Forum-Shopping*, 80 *CORN. L. REV.* 1507 (1995).

⁶² Robert B. Ahdieh, *Dialectical Regulation*, 38 *CONN. L. REV.* 863, 867 (2006) [hereinafter Ahdieh, *Dialectical Regulation*].

⁶³ See Robert A. Schapiro, *Toward a Theory of Interactive Federalism*, 91 *IOWA L. REV.* 243, 246 (2005).

⁶⁴ Ahdieh, *Dialectical Regulation*, *supra* note 60, at 867.

Yet this single-minded focus on certainty and clarity not only fails to describe a world of inevitable jurisdictional overlap, but also ignores the crucial question of whether leaving open space for such overlapping regulatory authority might actually be *beneficial*. Indeed, while jurisdictional overlap is frequently viewed as a problem because it potentially creates conflicting obligations and uncertainty,⁶⁵ we might also view jurisdictional redundancy as a necessary adaptive feature of a multivariate, pluralist legal system. The very “existence of overlapping jurisdictional claims often leads to a nuanced negotiation—either explicit or implicit—between or among the various communities making those claims.”⁶⁶

Thus, we can understand legal pluralism as both a descriptive and a normative project.⁶⁷ Descriptively, legal pluralists acknowledge the reality that we live in a world of multiple overlapping jurisdictional assertions and multiple legal and quasi-legal authorities that operate in often uneasy relationship with each other. Pluralists study the jurisdictional contestations and recognize that all authority is always relative, not absolute, because any assertion of authority always depends on the acquiescence of others. Thus, a jurisdictional assertion is more precisely understood as an exercise in “jurispersuasion”: the question is always whether a community or authority seeking to assert a norm can convince other actors to obey the normative rules being asserted.⁶⁸

But, as set forth at the outset,⁶⁹ beyond this set of descriptive observations, legal pluralism might also be understood to support a normative vision because communities drawing on the insights of legal pluralism might sometimes affirmatively seek to create or preserve spaces for productive interaction among multiple, overlapping communities and legal systems by developing procedural mechanisms, institutions, and practices that aim to bring those communities and systems into dialogue rather than dictating norms hierarchically.

In focusing on the pluralist opportunities inherent in jurisdictional overlap, we can draw on the arguments in Robert Cover’s article *The Uses of Jurisdictional Redundancy*.⁷⁰ Cover analyzed American federalism and celebrated the benefits that accrue from having multiple overlapping jurisdictional assertions.⁷¹ Such benefits include a greater possibility for error

⁶⁵ See BERMAN, *GLOBAL LEGAL PLURALISM*, *supra* note 17 at 236–43.

⁶⁶ *Id.* at 237.

⁶⁷ See Berman, *Global Legal Pluralism as a Normative Project*, *supra* note 16, at 158.

⁶⁸ Indeed, it is worth noting that the Latin root of the word “jurisdiction” is “*juris dicere*,” which means to “speak” the law, which of course is distinct from the ability to enforce it. For a further discussion of the idea of jurispersuasion, see generally BERMAN, *GLOBAL LEGAL PLURALISM*, *supra* note 17.

⁶⁹ See text accompanying notes 16 & 17.

⁷⁰ Cover, *The Uses of Jurisdictional Redundancy*, *supra* note 19.

⁷¹ See *id.* at 642–43.

correction, a more robust field for norm articulation, and a larger space for creative innovation.⁷² Moreover, when decision makers are forced to consider the existence of other possible decision makers, they may tend to adopt, over time, a more restrained view of their own power and come to see themselves as part of a larger tapestry of decision making in which they are not the only potentially relevant voice.⁷³ Finally, though Cover acknowledged that it might seem perverse “to seek out a messy and indeterminate end to conflicts which may be tied neatly together by a single authoritative verdict,” he nevertheless argued that we should “embrace” a system “that permits the tensions and conflicts of the social order” to be played out in the jurisdictional structure of the system.⁷⁴ Judith Resnik likewise has noted the “multiple ports of entry” that a federalist system creates⁷⁵ and has argued that what constitutes the appropriate spheres for “local,” and “national” regulation and adjudication changes over time and therefore cannot be essentialized or permanently resolved.⁷⁶

Building on these principles, we can perhaps identify two different strategies for responding to the descriptive reality of legal pluralism.⁷⁷ On the one hand, judges facing an issue of intersystemic complexity can seek to bring order by engaging in line drawing and ruling categorically that one legal authority’s rules or jurisdictional assertions prevail over the other’s. This is what Cover calls a “jurispathic” approach because it necessarily requires the decision maker to anoint one jurisdiction as the legitimate authority and decree that all other jurisdictions are disabled from applying their norms.⁷⁸ In doing so, the decision maker “kills off” conflicting interpretations and authorities.⁷⁹ The contrasting approach is what Cover would call “jurisgenerative.”⁸⁰ This more pluralist approach seeks modes of accommodation, deference, and hybridity that will allow multiple jurisdictions to continue to speak to a particular legal problem,

⁷² See *id.* at 649.

⁷³ See *id.* at 678.

⁷⁴ *Id.* at 682.

⁷⁵ Resnik, *Law’s Migration*, *supra* note 19, at 1579.

⁷⁶ See Judith Resnik, *Afterword: Federalism’s Options*, 14 YALE L. & POL’Y REV. 465, 473–74 (1996) [hereinafter Resnik, *Federalism’s Options*] (“My point is not only that particular subject matter may go back and forth between state and federal governance but also that the tradition of allocation itself is one constantly being reworked; periodically, events prompt the revisiting of state or federal authority, and the lines move.”).

⁷⁷ It is worth noting that *responding* to legal pluralism is not the same as *eliminating* it. Legal pluralism is inevitable. For example, a supreme court may be supreme within the contours of a particular formal legal system, but even its edicts are subject to contestation, resistance, and alternative assertions of authority.

⁷⁸ See Cover, *Nomos and Narrative*, *supra* note 51, at 53.

⁷⁹ See *id.*

⁸⁰ See *id.* at 11–15.

allowing the interests and policies of multiple communities to be effectuated without blocking the dialogue among systems.⁸¹ Thus, the pluralist framework provides a way of analyzing jurisprudence concerning the interaction of legal systems in terms of whether it preserves or cuts off intersystemic dialogue, voice, and norm articulation.

PART III: LEGAL PLURALISM, DIVERSITY JURISDICTION, AND *SWIFT V. TYSON*

The principles of legal pluralism described in Part II provide a useful lens for understanding the federalist interaction inherent in the constitutional grant of diversity jurisdiction provided by Article III,⁸² which in turn provides a way of analyzing the efficacy of the interactive system of federal and state common law adjudication reflected in the U.S. Supreme Court's decision in *Swift v. Tyson*,⁸³ as well as its repudiation in *Erie*. Although many scholars still dismiss the *Swift* doctrine as unconstitutional or impractical,⁸⁴ several commentators have recently argued for a reexamination of *Swift* and its conception of adjudication and the common law.⁸⁵

This Part argues that the history of American federalism from the founding era can be understood to weave a pluralist approach into the dual state/federal judicial system and that *Swift* is at least consonant with such a pluralist vision. This emphatically does not prove that somehow *Swift* is necessarily right and *Erie* wrong. But it does suggest that the strong criticisms of *Swift* that were lodged both by early twentieth-century commentators⁸⁶ and by Justice Brandeis in the *Erie* decision itself may be misguided, at least from a pluralist perspective. In addition, criticisms of *Swift* (and justifications for *Erie*) based either on federalism or separation of powers fall short. As a result, even if *Erie* remains the law of the land, it should be applied in a more textured nuanced way that takes seriously the pluralist impulses that remain at the federalist core of the *Erie* inquiry.

⁸¹ See Judith Resnik, *Living Their Legal Commitments: Paideic Communities, Courts, and Robert Cover*, 17 YALE J.L. & HUMANS. 17, 18, 25 (2005) (“[Cover] wanted the state’s actors . . . to be uncomfortable in their knowledge of their own power, respectful of the legitimacy of competing legal systems, and aware of the possibility that multiple meanings and divergent practices ought sometimes to be tolerated, even if painfully so.”).

⁸² U.S. CONST. art. III, sec. 2.

⁸³ 41 U.S. (16 Pet.) 1 (1842).

⁸⁴ See, e.g., Anthony J. Bellia Jr. & Bradford R. Clark, *General Law in Federal Court*, 54 WM. & MARY L. REV. 655, 701 (2013) [hereinafter Bellia & Clark, *General Law in Federal Court*]; Jack L. Goldsmith & Curtis Bradley, *General Law Revivalism and the Problem of 1938* (Jan. 7, 2026), <https://ssrn.com/abstract=6035456>.

⁸⁵ See, e.g., Robert R. Gasaway & Ashley C. Parrish, *In Praise of Erie—And Its Eventual Demise*, 10 J.L. ECON. & POL’Y 225, 233–34 (2013); Sherry, *supra* note 6, at 137–42; Stephen Sachs, *Finding Law*, 107 CALIF. L. REV. 527, 572 (2019).

⁸⁶ See Warren, *supra* note 29, at 84–88; Frankfurter, *supra* note 29, at 529.

A. A Pluralist Understanding of the Federal Grant of Diversity Jurisdiction

As discussed above, from the perspective of legal pluralism, a federalist system offers several advantages over a more monist constitutional scheme. Most fundamentally, by institutionalizing multiple quasi-independent legal and governmental systems, a federalist structure allows voices and perspectives that prove to be unsuccessful, for whatever reason, in one legal system to have an alternative venue. As a result, various state populations can live with some degree of independence even while gaining the advantages of a unified national system.

In drafting the Constitution, the Framers were acutely aware of the tension between independence and unity and built a complex federalist structure to navigate that tension. It is beyond the scope of this article to provide a history of American federalism,⁸⁷ but it is abundantly clear that our federalism is in large part a response to the distrust of centralized power that followed the revolution against a monarchical system.⁸⁸ Indeed, the Articles of Confederation rejected the centralized and monist model of government the Framers associated with English rule so thoroughly that it failed to supply adequate national coordination at all.⁸⁹ The Constitution's drafters therefore endeavored to strengthen national unity, but without eliminating meaningful state authority.⁹⁰ They did this by creating a system that allowed the states to retain their own legal regimes, while establishing a federal one that would operate alongside and bond them.

This structural commitment is reflected in the Constitution's distribution of governmental power. Rather than assigning exclusive authority to a single sovereign or institution, the document permits—and often assumes—concurrent jurisdiction. Although the Framers may not have anticipated the full extent of the overlap this design would generate, they plainly did not aim for clear or exhaustively delineated divisions of authority. Shared and contested power is therefore not a flaw in the constitutional scheme, but a foreseeable consequence of its deliberately pluralist design.

⁸⁷ For useful histories, see generally ROBERT A. SCHAPIRO, POLYPHONIC FEDERALISM 31–53 (2009); Erin Ryan, *Federalism and The Tug of War Within: Seeking Checks and Balance in the Interjurisdictional Gray Area*, 66 MD. L. REV. 503, 629–43 (2007); Edward S. Corwin, *The Passing of Dual Federalism*, 36 VA. L. REV. 1 (1950); DANIEL J. ELAZAR, AMERICAN FEDERALISM: A VIEW FROM THE STATES (2d ed. 1972).

⁸⁸ See SCHAPIRO, *supra* note 85, at 33.

⁸⁹ See *id.* at 32. For more detailed accounts of the perceived failures of the Articles of Confederation, see DANIEL A. FARBER & SUZANNA SHERRY, A HISTORY OF THE AMERICAN CONSTITUTION 23–25 (1990); JACK N. RAKOVE, THE BEGINNINGS OF NATIONAL POLITICS: AN INTERPRETIVE HISTORY OF THE CONTINENTAL CONGRESS 333–400 (1979).

⁹⁰ See SCHAPIRO, *supra* note 85, at 32.

Article III applies this general structural logic to the allocation of judicial power.⁹¹ Rather than create a supreme federal judiciary that always prevails over state courts, Article III establishes federal courts as participants in a shared adjudicative landscape.⁹² State courts retain broad authority to resolve disputes, including those involving federal law, and nothing in the Constitution purports to strip them of their traditional role. But conversely, Article III also does not purport to force federal courts to apply state law in a purely mechanical fashion when adjudicating state law issues either. The Constitution thus situates the federal judiciary to operate alongside state courts as a co-evolutionary participant in a multi-sovereign system of adjudication.

It is from this perspective that we can perhaps understand Article III's grant of diversity jurisdiction. The Constitution extends the judicial power of the United States "to Controversies ... between Citizens of different States."⁹³ By defining this jurisdiction solely by reference to the citizenship of the parties, Article III assigns federal courts adjudicative power over an otherwise unqualified class of interstate disputes. Nothing in the text limits that authority to the application of preexisting state rules, nor does it suggest that federal courts must act as subordinate agents of state law in such cases.

In addition, diversity jurisdiction is not a pluralist outlier within Article III. Instead, it belongs to a broader family of jurisdictional grants that permit federal courts to contribute to the resolution and development of law where interstate disputes or overlapping sovereign interests create a risk of intersystemic friction. Indeed, each of the jurisdictional grants enumerated in Article III can be traced to the Virginia Plan's provision authorizing federal jurisdiction both over matters "arising under the national laws" and matters affecting "national peace and harmony."⁹⁴

The formulation of matters affecting "national peace and harmony" is obviously open-ended, but it was understood to encompass disputes that, if left entirely to state courts, could threaten interstate or international relations. Disputes between citizens of different states were widely understood to fall within this category, and the Convention left it to the Committee of Detail to translate this general mandate into more concrete jurisdictional language.⁹⁵

⁹¹ See *id.* at 122.

⁹² See *id.* at 123–24.

⁹³ U.S. CONST. art. III, sec. 2.

⁹⁴ See Patrick J. Borchers, *The Origins of Diversity Jurisdiction, The Rise of Legal Positivism, and a Brave New World for Erie and Klaxon*, 72 TEX. L. REV. 79, 92 (1993) (quoting Notes of James Madison (July 18, 1787), in 2 THE RECORDS OF THE FEDERAL CONVENTION OF 1787 40, 46 (Max Ferrand ed., rev. ed. 1937) (demonstrating that diversity jurisdiction was designed to counteract parochial state legislation—particularly debtor-relief laws—rather than merely biased state courts).

⁹⁵ See *id.* at 91.

Ultimately, the Committee of Detail converted the “arising under” component of the Virginia Plan into jurisdiction only over cases directly invoking federal law (as well as impeachment proceedings).⁹⁶ The “national peace and harmony” provision, in turn, became jurisdiction over controversies between citizens of different states, between states themselves, involving foreign citizens or subjects, and in the areas of admiralty and maritime law.⁹⁷

The Supreme Court has long recognized that the other jurisdictional grants that are derived from this “national peace and harmony” provision include the authority to articulate substantive rules of decision.⁹⁸ For example, federal courts develop governing law in controversies between states and in cases of admiralty and maritime jurisdiction.⁹⁹ Thus, it is certainly possible to conclude that federal courts might possess that same authority in diversity cases; indeed, such a conclusion might simply flow from the idea that the same Article III grant of “judicial power” should carry the same meaning across these related categories.¹⁰⁰ Certainly, nothing in the text suggests that the term bears one meaning in admiralty and interstate disputes and a narrower one in diversity cases.¹⁰¹ Thus, while Article III’s text does not dictate the creation of a federal substantive law to govern diversity cases, it does not preclude it either.

Turning from text to purpose, it has long been understood that diversity jurisdiction was intended to address potential prejudice against out-of-state litigants in state courts.¹⁰² And it is true that such prejudice can perhaps partly be alleviated simply by ensuring that these cases are presided over by federal judges—who have lifetime tenure—rather than by state judges, who often do not. But of course, this difference only marginally protects against potential bias, given that federal judges still live within the state and therefore may potentially be influenced by the same prevailing norms, cultural knowledge, and heuristic biases as state court judges. So, if one is truly concerned about overly parochial legal process and rules, one might think that federal courts would also need to evolve some independence regarding the law to be applied as well.

⁹⁶ See *id.* at 92.

⁹⁷ See *id.* at 93.

⁹⁸ See *id.* at 94.

⁹⁹ See *Connecticut v. Massachusetts*, 281 U.S. 660 (1931) (holding that federal courts possess substantive common law authority in cases arising between states); *Southern Pa. Co. v. Jensen*, 244 U.S. 205 (1917) (same for admiralty).

¹⁰⁰ See Martha A. Field, *Sources of Law: The Scope of Federal Common Law*, 99 HARV. L. REV. 881, 916 (1992) (“To hold that federal courts have the same power in diversity cases is simply to say that the same wording in Article III—‘judicial power’—bears the same meaning with respect to all three categories of jurisdiction; there clearly is no textual indication that the meaning of the term differs.”).

¹⁰¹ See *id.*

¹⁰² See HART & WECHSLER’S THE FEDERAL COURTS AND THE FEDERAL SYSTEM 1415 (7th ed. 2015); The Federalist No. 80 at 476–78 (Alexander Hamilton) (C. Rossiter ed. 1961).

Indeed, the historical context of the founding era suggests that the concern about local bias attached not just to the type of court or the identity of the judges presiding, but to the actual legal rules the various courts would apply. For example, in his analysis of the ratification debates, Judge Henry Friendly argued that “the real fear was not of state courts so much as of state legislatures.”¹⁰³ In particular, he notes that “the desire to protect creditors against legislation favorable to debtors was a principal reason for the grant of diversity jurisdiction, and that as a reason it was by no means without validity.”¹⁰⁴ According to Friendly, “the commercial interests of the country were reluctant to expose themselves to the hazards of litigation” before state courts. So “[t]here was a vague feeling that the new [federal] courts would be strong courts, creditors’ courts, business men’s courts.”¹⁰⁵

Friendly’s account aligns with the historical context in which the Framers drafted the Constitution. The states had gone into deep debt to finance the Revolutionary War, sending the economy into a severe depression from 1784 to 1786.¹⁰⁶ Economic hardship led many individuals, especially in America’s agrarian communities, to seek relief from their state legislatures.¹⁰⁷ These legislatures responded by passing various debtor-friendly laws, most notably providing for the public issuance of paper money.¹⁰⁸ Although state experimentation with paper money relieved some of the financial burden of debtors, such printing of money also tended to erode its purchasing power. That depreciation of course diminished the holdings of creditors and potentially disincentivized those creditors from extending the loans necessary for interstate commercial activity and investment—conditions that jeopardized the viability of the strong, functional system of national governance the Framers set out to create.¹⁰⁹

Like Friendly, John P. Frank, in studying the historical bases of the federal judicial system, concluded that diversity jurisdiction was largely intended to protect commercial and creditor interests from local hostility to interstate commerce.¹¹⁰ According to Frank, the relevant

¹⁰³ Henry J. Friendly, *The Historic Basis of Diversity Jurisdiction*, 41 HARV. L. REV. 483, 495 (1928) [hereinafter Friendly, *The Historic Basis of Diversity Jurisdiction*].

¹⁰⁴ *See id.*

¹⁰⁵ *See id.* at 499.

¹⁰⁶ *See* Robert L. Jones, *Finishing a Friendly Argument: The Jury and the Historical Origins of Diversity Jurisdiction*, 82 N.Y.U. L. REV. 997, 1011–12 (2007) (arguing that diversity jurisdiction was designed primarily to displace state juries—rather than state judges—by enabling federal control over jury composition).

¹⁰⁷ *See id.* at 1013.

¹⁰⁸ *See id.* at 1013–14.

¹⁰⁹ *See id.* at 1014.

¹¹⁰ John P. Frank, *Historical Bases of the Federal Judicial System*, 13 L. & CONTEMP. PROBS. 3, 22–28 (1948).

considerations in the grant of diversity jurisdiction were:

1. The desire to avoid regional prejudice against commercial litigants, based in small part on experience and in large part on common-sense anticipation. 2. The desire to permit commercial, manufacturing, and speculative interests to litigate their controversies, and particularly their controversies with other classes, before judges who would be firmly tied to their own interests. 3. The desire to achieve more efficient administration of justice for the classes thus benefitted.¹¹¹

While the out-of-state bias and pro-commerce theories are often treated as competing explanations, taken together they reflect a broader underlying concern: that state institutions might, over time, develop legal doctrine in a parochial way that would favor in-state interests at the expense of outsiders or the broader federal system. That concern extended beyond unfairness in the individual case—which might possibly be remedied by replacing an elected state judge with a life-tenured federal judge—to the longer-term evolution of legal norms.

This idea that federal law might offer a distinct version of the common law also accords with the old English conception of the *lex mercatoria*, or “law merchant.”¹¹² This was the idea that a distinct merchant law could apply to commercial transactions, a law that was independent of local law.¹¹³ The frequently cross-border nature of commercial transactions made it a particularly apt area for courts to apply customary law, and thus “[t]he concept of a uniform law merchant [was] quite naturally imported into the treatment of commercial law by American courts.”¹¹⁴

Finally, it is worth noting that, as a practical matter, it was likely necessary for federal courts to develop their own body of precedent regarding common law, separate from state courts, because at the time of constitutional ratification, case reporting was inconsistent, incomplete, and often nonexistent.¹¹⁵ Indeed, in the early years many state courts issued no written opinions capable of serving as precedent.¹¹⁶ As a result, state judges themselves often lacked access to

¹¹¹ *Id.*

¹¹² 1 WILLIAM BLACKSTONE, COMMENTARIES 264.

¹¹³ See *id.* at 75, 264; see Francis M. Burdick, *What is the Law Merchant?*, 2 COLUM. L. REV. 470, 474–76 (1902) (identifying the law merchant as “a particular system of customs ... which, however different from ... [local] law, is ... allowed, for the benefit of trade” and “which all nations agree in and take notice of”).

¹¹⁴ William A. Fletcher, *The General Common Law and Section 34 of The Judiciary Act of 1789*, 97 HARV. L. REV. 1513, 1518 (1984) (demonstrating that early federal courts routinely applied general common law without viewing Section 34 as a prohibition).

¹¹⁵ John H. Langbein, *Chancellor Kent and the History of Legal Literature*, 93 COLUM. L. REV. 547, 572 (1993) (“In colonial America the reporting of any decision was unusual, and this state of affairs lasted well into the early national period.”)

prior state decisions to guide their development of the common law and were therefore required to exercise independent judgment in resolving each new case.¹¹⁷

Even when state courts did keep records of their decisions, those records were typically limited to judges' personal notes on the cases they had heard.¹¹⁸ Such materials were neither systematic nor publicly accessible, and federal courts would have possessed no reliable means of obtaining them.¹¹⁹ In other words, there was no stable or knowable body of state common law for federal courts to "apply" in the way modern choice-of-law doctrine presupposes. This reality explains why state and federal courts alike routinely consulted sources such as Blackstone and later treatises.¹²⁰ These materials were not treated as precedent in the modern sense, but as learned sources that informed judges' own reasoning about what the common law should be.

None of this, of course, "proves" that diversity jurisdiction was meant to encompass the federal judicial development of common law norms. But it does suggest that the system of co-evolutionary law development that the Supreme Court in *Swift v. Tyson* approved was neither obviously incorrect as a historical matter nor obviously nonsensical as a practical matter. To the contrary, federal and state court evolution of common law norms finds support in the grant of diversity jurisdiction itself, the framers' desire to protect merchant creditors, the historical development of a distinct merchant law in England long before the American revolution, and the

¹¹⁶ *Id.* at 571–73 ("Because we are today so accustomed to the written opinion as the authoritative version of a judicial decision, we need to remind ourselves that the written opinion was a novelty in the later eighteenth century."). The first volume of state reports was published in Connecticut in 1792, but updates in the decades that followed remained sporadic. *See id.* at 573. Similar efforts emerged in other states in the early nineteenth century, though publication there was likewise irregular. *See id.* Early state reporting also depended heavily on the discretion of individual reporters, who exercised near-total control over which cases were included or omitted. *See id.* at 576.

¹¹⁷ Chancellor James Kent described the lack of written precedent in New York at the end of the eighteenth century: "When I came to the Bench [in 1798] there were no reports or State precedents. The opinions from the Bench were delivered [orally]. We had no law of our own, and nobody knew what it was." *See also* Fletcher, *supra* note 112, at 1556–57 (compiling testimony from late eighteenth-century lawyers on the lack of reporting in their respective states); HART & WECHSLER, *supra* note 100, at 578 ("Given the paucity of reported decisions and the difficulties of establishing the grounds of unreported ones, the problem of the authority of state decisions arose infrequently in the early years.").

¹¹⁸ FED. J. CTR., *Reporting of Decisions in the Early Federal Courts*, <https://www.fjc.gov/history/spotlight-judicial-history/reporting-decisions> (last visited Jan. 10, 2026).

¹¹⁹ Francis R. Aumann, *American Law Reports: Yesterday and Today*, 4 OHIO ST. U. L.J. 331, 334 (1938) (tracing the post-Founding emergence of American case law reporting).

¹²⁰ *See* Fletcher, *supra* note 112, at 1513. This pattern persisted even after limited state reporting projects began to emerge in the early nineteenth century. The first American law reports to be used with regularity beyond their home state were Kent's *New York Reports*, which were published in 1801 but did not circulate widely until several years thereafter. *See id.* Until that point, "the other states were on their own, as New York was, to adopt or adapt the English and continental law as they thought best." *Id.* Moreover, even once the *New York Reports* circulated beyond New York, they reflected a selective, judge-driven effort by Kent to shape the development of the common law, rather than the emergence of a stable or generally reliable system of precedential case reporting.

mere fact that state court decisions would have been difficult for federal courts even to ascertain in order to follow them.

B. *Swift v. Tyson* and Its Critics

In *Swift*, Justice Story interpreted the Judiciary Act of 1789 based on what he understood to be the prevailing legal views at the time of its enactment.¹²¹ From that perspective, questions of general law were seen as governed by a body of common law that operated independent of any single sovereign; state judicial decisions on such questions therefore would not necessarily bind federal courts.¹²² In the decades leading up to *Erie*, several prominent critics challenged Story's historical account, arguing that he had mischaracterized how the First Congress and early courts understood the common law.¹²³ But subsequent historical scholarship has largely tempered that critique—suggesting that these revisionist accounts were shaped less by contrary historical evidence than by the rise of legal positivism, which made forms of law lacking an identifiable sovereign increasingly unfashionable within mainstream legal thought.¹²⁴ Even modern accounts that remain doctrinally critical of *Swift* now generally agree that the description of general common law in the opinion does in fact accord with prevailing early nineteenth-century judicial practice.¹²⁵

Indeed, federal courts before *Swift* routinely applied general law without concern that they were somehow engaging in illicit judicial lawmaking.¹²⁶ Certainly, while Article III and the Judiciary Act of 1789 gave federal courts original jurisdiction in diversity cases, neither clearly dictated the law that should be followed in those cases.¹²⁷ As discussed above, Article III says

¹²¹ 41 U.S. (16 Pet.) 1, 18–19 (1842).

¹²² *Id.*

¹²³ The most notable pre-*Erie* critique of Story's interpretation of the original meaning of the Judiciary Act was made by Charles Warren, whose 1923 article the Court relied on in overturning *Swift*. See Charles Warren, *New Light on the History of the Federal Judiciary Act of 1789*, 37 HARV. L. REV. 49, 84–88 (1923); *Erie*, 304 U.S. 64, 72–73 (quoting Warren). See also Felix Frankfurter, *Distribution of Judicial Power Between United States and State Courts*, 13 CORN. L.Q. 499, 529 (1928) (“Deeper probably than any rationalization of *Swift v. Tyson*, is the temptation of judges to make law according to their own views when untrammelled by authority. Such intellectual energy must certainly have moved [Justice] Story.”).

¹²⁴ See Fletcher, *supra* note 112, at 1513; RANDALL BRIDWELL & RALPH U. WHITTEN, *THE CONSTITUTION AND THE COMMON LAW: THE DECLINE OF THE DOCTRINES OF SEPARATION OF POWERS AND FEDERALISM* 123–27 (1985) (arguing that the rise of a “positivistic judicial philosophy” contributed to the abandonment of *Swift*'s nonsovereign view of general law).

¹²⁵ See Bradford R. Clark, *Erie's Constitutional Source*, 95 CALIF. L. REV. 1289, 1291 (2007) [hereinafter Clark, *Erie's Constitutional Source*].

¹²⁶ See Fletcher, *supra* note 112, at 1517; Bellia & Clark, *General Law in Federal Court*, *supra* note 81, at 679–82.

¹²⁷ See Fletcher, *supra* note 112, at 1516.

nothing at all about what body of law should govern, and the only reference to choice of law in the Judiciary Act was Section 34 (now known as the Rules of Decision Act), which stated that state laws should provide the rules of decision “in cases where they apply.”¹²⁸

While the text of the Act did not provide guidance as to when state law would apply, this section was generally understood to embody the background principle of *lex loci*, which required federal courts to follow local law in “subject areas of peculiarly local concern, such as title to real property.”¹²⁹ But in order for the federal court to apply a local law, its “existence and meaning [had to be] clearly established.”¹³⁰ And absent a special statutory requirement, non-substantive questions like those of process and remedy were not considered matters of local law.¹³¹ Cases not governed by local law, however, did not automatically call for the application of federal law. When subject matter was of national concern, but federal law did not apply, courts typically resolved the issue by reference to what they understood as “general law.”¹³²

General law was therefore treated as a body of universal principles “not attached to any particular sovereign,” but thought to exist “by common practice among a number of sovereigns.”¹³³ It was applied in areas where local law was ineffective to regulate, and where national or international uniformity was desirable.¹³⁴ In the pre-*Swift* regime, state and federal courts alike regularly exercised their independent judgment to identify the applicable rules of general law.¹³⁵ Though judges in each system did not consider themselves bound by the other’s judgments, they could be influenced by them.¹³⁶ This universal law yielded differences in interpretation among courts, but these differences were sufficiently manageable such that “even when they disagreed, [the courts] considered themselves engaged in the joint endeavor of

¹²⁸ The full text of Section 34 reads: “And be it further enacted, That the law of the several states, except where the constitution, treaties or statutes of the United States shall otherwise require or provide, shall be regarded as rules of decision in trials at common law in the courts of the United States *in cases where they apply*.” 28 U.S.C. § 1652 (emphasis added).

¹²⁹ See Fletcher, *supra* note 112, at 1527–28.

¹³⁰ *Id.* at 1533.

¹³¹ See *id.* at 1533.

¹³² See *id.* at 1517.

¹³³ *Id.* Though general common law was thought of as “great universal law” that was “regularly and constantly adhered to,” it was largely derived from principles established by English courts and commentators. 1 BLACKSTONE, *supra* note 110, at 67; see Burdick, *supra* note 111, at 472.

¹³⁴ See Fletcher, *supra* note 111, at 1532–33.

¹³⁵ See *id.* at 1521, 1554.

¹³⁶ See *id.* at 1561 (“State courts generally followed common law decisions by the United States Supreme Court, but they were quite explicit in stating that they did not do so because of any legal compulsion.”).

deciding cases” according to the same principles.¹³⁷ So long as “the state and federal courts felt that they were administering a system of general common law in whose uniformity and stability they all had an important stake,” the general law system was “workable.”¹³⁸ And because state and federal courts participated equally in this process, without a system of hierarchical displacement, neither the Supremacy Clause¹³⁹ or the Tenth Amendment¹⁴⁰ was understood to be implicated.

The principal area in which both state and federal courts regularly applied nonsovereign general law was commercial litigation.¹⁴¹ This is not surprising because most of the instances in which federal courts applied nonstate, nonfederal law arose in commercial cases, which were more likely to involve parties from multiple states.¹⁴² In addition, as discussed above,¹⁴³ the frequently cross-border nature of commercial transactions made it a particularly apt area for courts to apply customary law, building from the older understanding of a *lex mercatoria* that would apply in commercial contexts, independent of local legal regimes.¹⁴⁴

Viewed against this historic backdrop, *Swift*’s holding that federal courts were free to “express [their] own opinion” on matters of “general commercial law” is hardly surprising.¹⁴⁵ And for a time, the doctrine tracked long-held, if imprecise, judicial categorizations of “local” and “general” law in a functional manner, largely limiting federal lawmaking to the latter.¹⁴⁶ But by the turn of the twentieth century, state law had grown increasingly diverse, and an interconnected national economy had eroded the line between general and local law.¹⁴⁷ At the

¹³⁷ See *id.* at 1515.

¹³⁸ *Id.* at 1562.

¹³⁹ U.S. CONST., Art. VI (“This Constitution, and the laws of the United States which shall be made in pursuance thereof; and all treaties made, or which shall be made, under the authority of the United States, shall be the supreme law of the land....”).

¹⁴⁰ U.S. CONST., amend X (“The powers not delegated to the United States by the Constitution, nor prohibited by it to the States, are reserved to the States respectively, or to the people.”).

¹⁴¹ See *id.* at 1518.

¹⁴² See TONY FREYER, HARMONY & DISSONANCE: THE SWIFT & ERIE CASES IN AMERICAN FEDERALISM 101–02 (1981).

¹⁴³ See text accompanying notes 109–11.

¹⁴⁴ The law merchant is “a particular system of customs ... which, however different from ... [local] law, is ... allowed, for the benefit of trade” and “which all nations agree in and take notice of.” 1 BLACKSTONE, *supra* note 110, at 75, 264; see Burdick, *supra* note 111, at 474–76.

¹⁴⁵ 41 U.S. (16 Pet.) at 18–19.

¹⁴⁶ Bradford R. Clark, *Federal Common Law: A Structural Reinterpretation*, 144 U. PA. L. REV. 1245, 1290 (1996) [hereinafter Clark, *Federal Common Law*].

same time, federal courts gradually “expanded the range of legal questions subject to the *Swift* doctrine,” at times “disregarding even the most well-established local customs” in areas where no competing body of general law existed.¹⁴⁸ Federal general common law “was no longer reflective, or mirroring of private understandings; it had become directive, or normative over those private understandings.”¹⁴⁹ As common law increasingly functioned as “an instrument of normative policy choices,” divergence across jurisdictions became more problematic.¹⁵⁰

In pluralist terms, what had arguably begun to happen was that the federal courts began to become jurispathic. Instead of seeing themselves as engaged in a joint enterprise to co-evolve common law norms based on commercial practice, federal judges began, at least according to critics, to use diversity jurisdiction as a mechanism for crafting new norms that would depart from clear state decisions to the contrary, thereby allowing national corporations to evade local common law liability.¹⁵¹ Whether these critics were correct in that assertion is a matter of debate¹⁵² and is beyond the scope of this article. But it is clear that *Swift*’s critics began to criticize the *Swift* regime as giving more power to the federal courts than was appropriate under a scheme of constitutional federalism.¹⁵³

C. Constitutional Criticisms of *Swift*

The Court responded to mounting criticism of the *Swift* doctrine by overruling it in *Erie*,¹⁵⁴ citing both historical and constitutional grounds.¹⁵⁵ As noted above,¹⁵⁶ *Erie*’s historical

¹⁴⁷ Douglas Laycock, *Equal Citizens of Equal and Territorial States: The Constitutional Foundations of Choice of Law*, 92 COLUM. L. REV. 249, 281 (1992).

¹⁴⁸ See Clark, *Federal Common Law*, *supra* note 144, at 1290. See, e.g., *Black & White Taxicab & Transfer Co. v. Brown & Yellow Taxicab & Transfer Co.*, 276 U.S. 518, 526–27 (1928) (holding that whether a contract was against public policy was a question of general law); *Kuhn v. Fairmont Coal Co.*, 215 U.S. 349, 361 (1910) (holding that dispute over real estate contract was governed by general law).

¹⁴⁹ Lawrence Lessig, *Erie—Effect of Volume 110: An Essay on Context in Interpretive Theory*, 110 HARV. L. REV. 1785, 1792 (1997).

¹⁵⁰ Ernest A. Young, *Sorting Out the Debate Over Customary International Law*, 42 VA. J. INT’L L. 365, 502 (2002).

¹⁵¹ See Robert H. Jackson, *The Rise and Fall of Swift v. Tyson*, 24 A.B.A. J. 609, 613 (1938) (“Perhaps the chief beneficiaries of the doctrine of *Swift v. Tyson* were corporations doing business in a number of states.”); FREYER, *supra* note 140, at 76–77.

¹⁵² See Hessel E. Yntema & George H. Jaffin, *Preliminary Analysis of Concurrent Jurisdiction*, 79 U. PA. L. REV. 869, 881–86, 881 n.23 (1931); Sherry, *supra* note 6 at 138.

¹⁵³ HART & WECHSLER, *supra* note 100, at 582 (“Controversy over the *Swift* decision did not become intense until the period during and after the Civil War.”).

¹⁵⁴ See Lessig, *supra* note 147, at 1792–95.

¹⁵⁵ See *Erie*, 304 U.S. at 72, 78–80.

critique of *Swift* has largely been dismissed as an *ex post* justification for abandoning the arguably expanded version of the doctrine that emerged in the late 19th and early 20th centuries. *Erie*'s constitutional analysis, by contrast, has received sustained scholarly attention. The *Erie* Court declared that federal courts lack a general power to create common law, but it did not identify the specific provision of the U.S. Constitution that renders such a power illegitimate. Nor did the Court suggest that federal courts are categorically prohibited from creating any common law at all.¹⁵⁷ Indeed, as a descriptive matter, federal courts have long made common law, and continue to do so today.¹⁵⁸ The enduring debate therefore concerns not whether federal courts engage in common law adjudication, but the degree to which the practice of common law adjudication should be constrained. Scholars evaluating the constitutionality of *Swift* generally focus on two rationales for justifying *Erie*: federalism and separation of powers.

Federalism-focused scholars argue that the *Swift* doctrine was unconstitutional because it granted federal courts a general lawmaking authority exceeding that possessed by the federal government itself, thereby violating the Constitution's design of a limited government with enumerated powers.¹⁵⁹ The leading proponent of this view was John Hart Ely.¹⁶⁰ Ely claimed that the Constitution's overall structure restrains courts from exercising powers not granted to the federal government as a whole.¹⁶¹ He argued that *Swift*'s interpretation of the Rules of Decision Act was unconstitutional not because "the federal common law rules that had been developed under it were encroaching on areas of 'state substantive law,'" but "because nothing in the Constitution provided the central government with a general lawmaking authority of the sort the Court had been exercising under *Swift*."¹⁶² Ely found support for his criticism of *Swift* in the

¹⁵⁶ See *supra* text accompanying notes 121–123.

¹⁵⁷ To the contrary, on the same day it decided *Erie*, the Court applied federal common law in a separate case involving a water dispute between private parties. See *Hinderlider v. La Plata River & Cherry Creek Ditch Co.*, 304 U.S. 92 (1938).

¹⁵⁸ See Field, *supra* note 98, at 907.

¹⁵⁹ The *Erie* opinion contained two federalism rationales: one grounded in the federal government's limited enumerated powers, and another borrowed from Justice Field's dissent in *Baltimore & Ohio R.R. Co. v. Baugh*, which relied on a conception of dual sovereignty that effectively treated states as independent nations. See *Erie*, 304 U.S. at 78 (quoting *Baltimore & Ohio R.R. Co. v. Baugh*, 149 U.S. 368, 401 (1893) (Field, J., dissenting)). This second rationale now receives "near-universal" scholarly disdain, as Field's quoted formulation rests on "now discredited views of state autonomy" that were "a relic of Lochner-era [dual] federalism." Craig Green, *Repressing Erie's Myth*, 96 CALIF. L. REV. 595, 607 (2008) [hereinafter Green, *Repressing Erie's Myth*]. As a result, modern scholarship generally treats *Erie*'s enumerated-powers analysis as the decision's only viable federalism justification.

¹⁶⁰ See John Hart Ely, *The Irrepressible Myth of Erie*, 87 HARV. L. REV. 693, 704 (1974).

¹⁶¹ See *id.* at 700 (describing the Constitution as "a sort of checklist, enumerating in a general way those things the central government may do and by implication denying it power to do anything else").

¹⁶² *Id.* at 702–03.

language of the *Erie* opinion itself, where Justice Brandeis explained that “Congress has no power to declare substantive rules of common law applicable in a State ... [a]nd no clause in the Constitution purports to confer such a power upon the federal courts.”¹⁶³

Under this approach focused on enumerated powers, the power of the federal courts is coextensive with that of Congress.¹⁶⁴ Where Congress lacks authority to regulate by legislation, federal courts likewise lack authority to regulate by creating common law. Conversely, wherever Article I authorizes Congress to legislate, federal courts may create common law, so long as Congress has not enacted a statute prohibiting such judicial lawmaking. Accordingly, Ely rejected the idea that there are certain subject-matter “enclaves” where Congress may legislate but courts may not likewise construct substantive common law rules.¹⁶⁵

However, as modern scholars have noted, the federalism critique of *Swift* is unpersuasive.¹⁶⁶ First, if federalism concerns were what motivated *Erie*, then *Erie* would have practical significance only for a narrow and unusual class of cases: diversity cases that satisfy the jurisdictional requirements of Article III and the Rules of Decision Act, yet involve purely intrastate, noncommercial matters beyond Congress’s Article I authority.¹⁶⁷ To be sure, in the years following *Swift*, federal courts may have engaged in impermissible lawmaking in areas that fell within this constitutional gap. But disputes arising out of interstate commerce (like *Swift* and *Erie* themselves) made up a large share of diversity cases in federal courts.¹⁶⁸ Such activity would be “susceptible to federal regulation [by Congress] under nearly any theory of Article I authority.”¹⁶⁹ And although the scope of Congress’ Commerce Clause power was surely narrower in 1938, when *Erie* was decided, than it is today,¹⁷⁰ even then Congress could surely have enacted a liability rule governing railroads, which was the issue in *Erie*. Moreover, the already-small gap between Article I power and diversity jurisdiction at the time of *Erie* has become even narrower

¹⁶³ *Id.* at 704 (quoting *Erie*, 304 U.S. at 78).

¹⁶⁴ *See id.* at 704.

¹⁶⁵ *Id.*

¹⁶⁶ *See Green, Repressing Erie’s Myth*, *supra* note 157, at 616 n.108 (describing the “federalism myth” of *Erie* as “in nearly continuous decline”); *see Sherry, supra* note 6, at 143 (“[S]cholars have often struggled with federalism as a basis for *Erie*, questioning it or watering it down[.]”).

¹⁶⁷ *See Green, Repressing Erie’s Myth*, *supra* note 157, at 612.

¹⁶⁸ *See FREYER, supra* note 140, at 102 (claiming that “perhaps as much as eighty percent” of twentieth century cases applying *Swift* involved corporations engaged in interstate commerce).

¹⁶⁹ *Green, Repressing Erie’s Myth, supra* note 157, at 612. *See Sherry, supra* note 6, at 144 (“The *Erie* Railroad, like many of the litigants in *Swift*–era cases in which the court applied federal common law, was engaged in interstate commerce. Even in 1938, then, Congress would have had power to regulate the railroad’s liability.”).

¹⁷⁰ Thomas W. Merrill, *The Common Law Powers of Federal Courts*, 52 U. CHI. L. REV. 1, 14–15 (1985).

in light of subsequent Supreme Court decisions.¹⁷¹ Because Congress can now regulate in nearly any area touching on interstate commerce without serious constitutional difficulty, seeing *Swift* as a violation of federalism seems implausible.¹⁷² To the contrary, as discussed above,¹⁷³ the *Swift* regime—at least until federal courts arguably overstepped their bounds—was fully consonant with a pluralist federalist structure of jurisdictional overlap and co-evolutionary common law judging.

Dissatisfaction with a purely federalism-based rationale for overruling *Swift* has led some scholars to focus instead on potential separation-of-powers implications of the doctrine.¹⁷⁴ Although these commentators concede that *Swift* was not originally understood to raise such concerns,¹⁷⁵ nor did the *Erie* opinion itself invoke separation of powers explicitly, they diagnose the deeper constitutional flaw of the *Swift* doctrine to be the power it conferred on federal courts specifically, rather than the federal government as a whole.¹⁷⁶

This account maintains that a general federal common law power is unconstitutional not because it exceeds the government’s enumerated powers, but because “[p]rinciples related to the separation of powers impose an additional limit on the authority of federal courts to engage in lawmaking on their own.”¹⁷⁷ For that reason, this school of thought rejects Ely’s position that judicial power is coextensive with the scope of congressional authority.¹⁷⁸ These scholars argue that absent a valid legislative source of authorization, federal courts lack the capacity to create

¹⁷¹ See Green, *Repressing Erie’s Myth*, *supra* note 157, at 613 (“[U]nder conventional assumptions about modern congressional authority and the universe of diversity cases, any ‘gap’ between Article I commerce power and federal diversity seems very small indeed.”).

¹⁷² See Merrill, *supra* note 168, at 20 (“[A]s the powers of the federal government have grown in relation to those of the states, the separation-of-powers principle has probably eclipsed federalism as the dominant ground for questioning lawmaking by federal courts.”).

¹⁷³ See *supra* Part IIIA.

¹⁷⁴ Some scholars adopting a separation-of-powers account of *Swift* and *Erie* describe their approach as one of “judicial federalism,” because, in their view, federal courts “unconstitutionally invad[e] the autonomy and independence of the States” whenever they “unilaterally apply a rule of their own choosing in lieu of substantive state law.” Clark, *Federal Common Law*, *supra* note 141, at 1259. See Merrill, *supra* note 165, at 16 (“[W]hile federalism, at least as it was understood in *Erie*, may be ‘dead,’ what might be called ‘judicial federalism’ lives on.”).

¹⁷⁵ Clark, *Federal Common Law*, *supra* note 146, at 1277, 1290–91.

¹⁷⁶ Merrill, *supra* note 168, at 15 (“[T]he federalism principle identified by *Erie* ... has been silently transformed from a general constraint on the powers of the federal government into an attenuated constraint that applies principally to one branch of the government—the federal judiciary.”).

¹⁷⁷ Paul J. Mishkin, *Some Further Last Words on Erie—the Thread*, 87 HARV. L. REV. 1682, 1683 (1974).

¹⁷⁸ Henry P. Monaghan, *The Supreme Court, 1974 Term—Foreword: Constitutional Common Law*, 89 HARV. L. REV. 1, 11–12 (1975).

binding substantive law at all.¹⁷⁹ They believe this limitation follows from the Constitution's requirement that lawmaking be subject to democratic checks.¹⁸⁰ For these scholars, *Erie* rests not on a general limit to federal governmental action, but rather a structural judgment that federal courts, insulated from political accountability, may not engage in lawmaking.¹⁸¹

Although the earliest separation-of-powers critiques of *Swift* were not tied to any specific constitutional provision,¹⁸² more recent scholarship has sought to ground the theory in the Supremacy Clause. Bradford Clark, for example, contends that the three categories of law identified by the Clause—the “Constitution,” “Laws of the United States which shall be made in Pursuance thereof” and “Treaties”¹⁸³—constitute the exclusive supreme federal law.¹⁸⁴ Clark reads the Clause's reference to laws “made in Pursuance” of the Constitution to encompass only those which are enacted through the procedures outlined in Article I, Section 7.¹⁸⁵ He maintains that by design, each category of law specified by the Clause “safeguard[s] federalism by requiring the participation and assent of the states or their representatives in the Senate.”¹⁸⁶ In Clark's view, federal common law lacks the constitutional authority necessary to independently qualify as “law” under the Supremacy Clause because the Constitution specifies no such procedure for its enactment.¹⁸⁷ So federal common law may exist only insofar as it can be traced to one of the Clause's three “supreme” sources.¹⁸⁸

¹⁷⁹ See *id.*; Mishkin, *supra* note 175.

¹⁸⁰ See Clark, *Erie's Constitutional Source*, *supra* note 123, at 1304.

¹⁸¹ See Clark, *Separation of Powers as a Safeguard of Federalism*, 79 TEX. L. REV. 1321, 1403 (2001) [hereinafter “Clark, *Separation of Powers*”].

¹⁸² See Mishkin, *supra* note 175, at 1685 (basing his theory “on the structure established by the Constitution whereby the states, and their interests as such, are represented in the Congress but not in the federal courts.”); Monaghan, *supra* note 176, at 11–12.

¹⁸³ U.S. CONST. art. VI, cl. 2.

¹⁸⁴ See Clark, *Erie's Constitutional Source*, *supra* note 123, at 1307.

¹⁸⁵ See *id.* Clark contrasts the Supremacy Clause's reference to “Laws of the United States which shall be made in Pursuance” of the Constitution with Article III's broad grant of jurisdiction over cases arising under the “Laws of the United States.” See Clark, *Separation of Powers*, *supra* note 179, at 1332–1334. In his opinion, Article III permits federal courts to hear and adjudicate claims arising under federal statutes, even when their constitutionality is in question, whereas the Supremacy Clause identifies the narrower class of federal laws that, having been enacted pursuant to constitutionally prescribed procedures, qualify as the “supreme Law of the Land.” *Id.*

¹⁸⁶ Clark, *Erie's Constitutional Source*, *supra* note 123, at 1290. See *id.* at 1304 (“All of the lawmaking procedures prescribed by the Constitution magnify the effect of the political safeguards of federalism by denying any single participant in the lawmaking process to make federal law unilaterally. Rather, all forms of the ‘supreme Law of the Land’ must be adopted by the Senate acting in conjunction with at least one other actor.”).

¹⁸⁷ See Clark, *Federal Common Law*, *supra* note 146, at 1269.

¹⁸⁸ See Clark, *Erie's Constitutional Source*, *supra* note 123, at 1302.

But the Supremacy Clause is an ill-fitting and potentially overinclusive basis for abandoning the *Swift* doctrine. As an initial matter, the Clause concerns only preemptive federal law: it establishes what types of federal law displace state law and bind state courts.¹⁸⁹ Where federal law is not preemptive, however, the Supremacy Clause poses no constitutional difficulty, even if state and federal courts apply different legal rules to the same subject matter. *Swift* operated precisely within this nonpreemptive space. General federal common law, as understood by *Swift*, did not purport to bind state courts, override state statutes, or otherwise function as “supreme Law of the Land.”¹⁹⁰ Nor did state courts treat it that way; during the *Swift* regime, they routinely disregarded federal precedents in their own development of the common law.¹⁹¹ And even when repudiating *Swift* in *Erie*, the Court did not suggest that the doctrine implicated the Supremacy Clause.¹⁹²

Professor Clark’s contrary view requires reading a further, negative inference into the Supremacy Clause—one that bars federal courts from engaging in even nonpreemptive lawmaking absent authorization from constitutionally “supreme” sources.¹⁹³ Yet Clark himself acknowledges that the original constitutional order tolerated, and in many contexts assumed, the judicial application of nonsovereign law.¹⁹⁴ His claim is instead that once state courts came to understand common law as an exercise of sovereign lawmaking rather than law-finding, the Supremacy Clause became relevant, and federal courts lost even the authority to articulate parallel rules of decision in diversity cases.¹⁹⁵ But a *post hoc* shift in jurisprudential self-understanding should not be allowed to retroactively alter the constitutional meaning of the Supremacy Clause or convert nonpreemptive judicial practice into a constitutional violation.¹⁹⁶

¹⁸⁹ U.S. CONST. art. VI, cl. 2.

¹⁹⁰ In fact, the *Swift* decision was joined by a Justice “who has been characterized as the most extreme states’ rights enthusiast ever to sit on the Supreme Court.” FREYER, *supra* note 140, at 3.

¹⁹¹ See Fletcher, *supra* note 112, at 1558.

¹⁹² Clark admits that no Justice in *Erie* mentioned the Supremacy Clause. See Clark, *Erie’s Constitutional Source*, *supra* note 123, at 1308. Instead, he argues that the Court was paraphrasing the Clause when it said that “[e]xcept in matters governed by the Federal Constitution or by Acts of Congress, the law to be applied in any case is the law of the state.” See *id.* (quoting *Erie*, 304 U.S. at 78).

¹⁹³ See Bradford R. Clark, *Federal Lawmaking and the Role of Structure in Constitutional Interpretation*, 96 CALIF. L. REV. 699, 708 (2008) [hereinafter Clark, *Federal Lawmaking*] (“In the absence of supreme federal law, a federal court sitting in diversity has no authority to disregard state law. The Constitution does not recognize a category of non-supreme federal law that federal courts are free to make on their own initiative.”); Clark, *Erie’s Constitutional Source*, *supra* note 123, at 1303 (“The negative implication of the [Supremacy] Clause is that, in the absence of these sources, state law continues to govern.”).

¹⁹⁴ See Clark, *Federal Common Law*, *supra* note 146, at 1279–85.

¹⁹⁵ See Clark, *Separation of Powers*, *supra* note 179, at 1413–14.

Scholars such as Clark who invoke the Supremacy Clause as the organizing principle for federal common law do so because they view it as necessary to protect state interests and safeguard federalism.¹⁹⁷ But deploying the Clause in this way risks producing consequences far more intrusive on state authority than the *Swift* regime itself. If all constitutionally acceptable forms of federal law qualify as “supreme,” even in diversity cases, then all valid federal law will need to be treated as hierarchically controlling across both court systems. As we will see, that would mean that the Federal Rules of Civil Procedure, Evidence, and so on will always preempt state rules in diversity cases, even if application of those rules undermine important state policy goals enacted by the democratically accountable state legislature, not to mention the expectations of parties operating within those states. As I will argue, such an approach does not sufficiently protect state sovereign interests, at least not without a more nuanced inquiry into the relative state and federal interests involved.¹⁹⁸ Therefore, not only is it odd to build a theory of *Erie* around a constitutional inquiry that the *Erie* Court nowhere discusses, but the Supremacy Clause theory does not even sufficiently protect the interest in democratic accountability that is its supposed rationale.

An additional problem with the separation-of-powers justification for *Erie* is that it extends *Erie* far beyond the federalism context in which *Erie* arose. Thus, as we will see in Part V, scholars (and sometimes courts) read *Erie* to deny federal courts the power to engage in common law judging even in cases that have nothing to do with diversity jurisdiction and nothing to do with state law. At times, it appears that the whole purpose of this approach to *Erie* is to apply it far beyond the *Erie* context in order to block all forms of judicial law-making. This seems to me to be an extraordinary overreading of the *Erie* decision itself. Even if one believes *Erie* is rightly decided, its context is plainly limited to federal judges using common law adjudication to encroach on the sovereignty of the states. Thus, expanding the *Erie* decision to imply an edict that federal courts must never engage in common law judging, even in cases *not* involving the states, seems a bridge much too far.

In addition, reading *Erie* as creating such an edict about common law judging inevitably depends on a presumed positivist distinction between judicial interpretation and judicial law-making. But of course scholars have long struggled to define the fundamentally indeterminate line between legitimate textual “interpretation” and illegitimate judicial “lawmaking.”¹⁹⁹ Even

¹⁹⁶ See Craig Green, *Erie and Problems of Constitutional Structure*, 96 CALIF. L. REV. 661, 664 n.17 (2008) [hereinafter Green, *Erie and Problems of Constitutional Structure*].

¹⁹⁷ See Clark, *Erie’s Constitutional Source*, *supra* note 123, at 1290.

¹⁹⁸ In addition, whereas *Swift* permitted states to continue developing their own common law alongside parallel development in federal courts, a Supremacy Clause-based approach would imply that whenever Congress authorizes courts to develop common law, those rules must control, even in state courts, because they are derived directly from a supreme source.

¹⁹⁹ Merrill, *supra* note 168, at 21.

those who seek to use *Erie* in this way differ in how broadly they define “interpretation.” Some adopt a narrow definition, limiting interpretation to identifying and enforcing the specific meaning or understanding of the enacting sovereign.²⁰⁰ This view—characteristic of textualist and originalist methodologies²⁰¹—treats any judicial elaboration beyond the enacted text as lawmaking rather than interpretation.²⁰² Most proponents of the separation-of-powers rationale tend to gravitate toward this restrictive understanding.²⁰³ Others adopt a slightly broader definition, permitting interpretation to include limited gap-filling or interstitial elaboration necessary to implement or effectuate the law.²⁰⁴

On either account, however, the line between interpretation and lawmaking remains unstable and somewhat arbitrary. And again, wherever that line should be drawn, the fundamental point is that the *Erie* decision cannot legitimately be used to help one draw it, because *Erie* is not a general statement about judicial law-making. Its sole purpose is to address the *Swift* doctrine in the context of federal courts arguably encroaching on domains of state law. *Erie* therefore has exactly nothing to say about judicial law-making outside of that context.

PART IV: UNDERSTANDING THE *ERIE* DOCTRINE THROUGH THE LENS OF LEGAL PLURALISM

Using the lens of legal pluralism, we can start from the observation that the pre-*Erie* era of *Swift v. Tyson*²⁰⁵ actually already reflected a type of pluralist approach. On matters of general common law, both federal courts and state courts could apply common law principles largely derived from English courts and commentators.²⁰⁶ Thus, the common law of torts or contracts would mostly be evolved by state court judges, but when such cases arose involving parties from different states, the parties could opt into federal court based on diversity of citizenship, and federal judges would also have a voice in the evolution of these common law rules.²⁰⁷

²⁰⁰ *Id.* at 4.

²⁰¹ See Merrill, *supra* note 168, at 18.

²⁰² See *id.* at 17.

²⁰³ See, e.g., Martin H. Redish, *Federal Common Law, Political Legitimacy, and the Interpretive Process: An “Institutionalist” Perspective*, 83 NW. U. L. REV. 761, 766–67; Clark, *Federal Common Law*, *supra* note 146, at 1247; Curtis A. Bradley & Jack L. Goldsmith, *Customary International Law as Federal Common Law: A Critique of the Modern Position*, 110 HARV. L. REV. 815, 869 (1997).

²⁰⁴ See, e.g., Merrill, *supra* note 168, at 5–6.

²⁰⁵ 41 U.S. (16 Pet.) 1 (1842).

²⁰⁶ See Fletcher, *supra* note 112, at 1517; Bellia & Clark, *General Law in Federal Court*, *supra* note 82, at 679–82.

²⁰⁷ See Fletcher, *supra* note 112, at 1527–28.

At least in theory, these federal and state judges, as they articulated the common law, did not operate in direct hierarchical relationship with each other, but instead inhabited a world where each group of judges could be *influenced* by each other, even while they were not *controlled* by each other.²⁰⁸ Decisionmakers would therefore be encouraged to pay attention to the norms of multiple communities and craft decisions that gave voice to those communities and their legal commitments, just as legal pluralism would suggest. And the result was ideally jurisgenerative, because neither federal courts nor state courts dictated doctrine to the other; instead, there was a process of co-evolution of legal norms over time.

Of course, there were politics involved, and federal courts came to be seen as entities that tended to thwart progressive goals while advancing corporate interests.²⁰⁹ And one can take sides regarding those positions as a political matter. But from the point of view of legal system design, the *Swift* arrangement reflected the idea that multiple legal systems could at least potentially forge hybrid legal norms through a process that allowed both state and federal systems to have voice.²¹⁰ In addition, that multiplicity allowed parties who might have felt unheard in one system to potentially be heard in another, albeit only in cases involving diversity of citizenship.²¹¹

²⁰⁸ Robert Ahdieh has described this same sort of intersystemic dialectical interaction in the context of the relationship among various countries' securities regulators:

[E]ach agency's pursuit of its mandate is shaped—in a non-trivial fashion—by the other entity's acts of commission or omission. Each entity is reliant on the other, in one way or another. As a result, there emerges a regulatory regime characterized by increased interaction, of a more recurrent nature, and by a close intermingling of regulatory conflict and cooperation. Ultimately, rather than increased regulatory cooperation supporting each agency's pursuit of its own mission, we may even see something akin to joint, or intertwined, regulation of relevant individuals, institutions, or subject-matter. In such regimes, discrete sets of regulatory rules may collapse into a collective whole.

Ahdieh, *Dialectical Regulation*, *supra* note 60, at 865.

²⁰⁹ See Jackson, *supra* note 149, at 613; FREYER, *supra* note 140, at 109.

²¹⁰ See, e.g., Gray v. Waln, 2 Serg. & Rawle 229 (Pa. 1816) (citing Caze v. Reilly, 5 F. Cas. 332 (C.C.D. Pa. 1814)) (state supreme court following decision of a federal court sitting in the same state); M'Bride v. Marine Ins. Co., 5 Johns. 299 (N.Y. Sup. Ct. 1810) (citing Odlin v. Ins. Co., 18 F. Cas. 583 (C.C.D. Pa. 1808)) (state court following decision of a federal court sitting in a different state); Vermont v. Soc'y for Propagation of the Gospel, 28 F. Cas. 1155, 1157 (C.C.D. Vt. 1827) (citing Commonwealth v. Pejepsut Proprietors, 10 Mass. 155 (Mass. 1813)) (federal court following decision of another state's supreme court).

²¹¹ See, e.g., Huidekoper's Lessee v. Douglass, 7 U.S. (3 Cranch) 1 (1805) (diversity action in which a private land claimant obtained a federal construction of a Pennsylvania statute after state courts had construed it to favor the Commonwealth); Bank of the U.S. v. Halstead, 23 U.S. (10 Wheat.) 51 (diversity action in which a non-resident commercial creditor obtained access to federal judgment enforcement at a time when state court afforded only delayed or depreciated remedies). See also Robert L. Jones, *Finishing a Friendly Argument: The Jury and the Historical Origins of Diversity Jurisdiction*, 82 N.Y.U. L. REV. 997, 1055–60 (2007) (arguing that early federal jury selection practices better protected commercial interests from local agrarian bias prevalent in state courts); Charles F. Hobson, *The Recovery of British Debts in the Federal Circuit Court of Virginia, 1790 to 1797*, 92 THE VA. MAG. OF HIST. AND BIOGRAPHY, no. 2, 1984, at 176–200, <https://www.jstor.org/stable/4248711> (documenting how federal courts in Virginia served as the only effective forum for British creditors to recover debts after the war due to state-court hostility).

Seen through a pluralist lens, therefore, we can understand *Erie* as jurispathically eliminating a large chunk of the productive hybridity inherent in the *Swift* regime. Instead of a co-evolutionary process of common law norm development, *Erie* deployed legal positivism to insist that all of these common law norms must derive from a defined sovereign entity, and the relevant sovereignty must always be state law, absent explicit legal authority granted to the federal courts by the federal Constitution.²¹² And though one might have thought that the grant of diversity jurisdiction to federal courts itself was such a grant of authority,²¹³ the *Erie* Court ignored this possibility, emphasizing instead the supposedly overriding need for vertical uniformity between federal and state courts adjudicating similar cases within the same state.²¹⁴

For over a decade afterwards, the U.S. Supreme Court focused on vertical uniformity as the only goal of *Erie*, bending over backwards to stamp out any possible legal pluralism. During this period, any and all differences between federal and state law, no matter how seemingly minor or technical, inevitably required federal courts to use the law that the state court would have used. So long as the difference in state and federal law might have some effect on the outcome of the case—as many procedures do, of course—then the state rule prevailed.²¹⁵

The problem with this “outcome-determinative”²¹⁶ approach is that it completely ignored any possible federal interest that might exist. After all, federal courts have rules that reflect core federal policy interests surrounding what constitutes fair process, and presumably those interests reflect something fundamental about federal courts that deserves to be given voice, at least in some cases. But the Supreme Court in these cases did not bother to inquire as to the federal interest at stake or to weigh that interest against the state’s interest in applying its rule. The result was a categorical approach that always privileged the state.

The pendulum started to swing back towards the idea of multiple interests in the 1958 decision in *Byrd v. Blue Ridge Rural Electric Cooperative, Inc.*,²¹⁷ where the Supreme Court was faced with the Seventh Amendment requirement of jury trials in federal courts on the one hand,²¹⁸

²¹² See *Erie*, 304 U.S. at 79–80.

²¹³ See *infra* Part III.

²¹⁴ See *Erie*, 304 U.S. at 74–75.

²¹⁵ E.g., *Guaranty Tr. Co. v. York*, 326 U.S. 99, 109 (1945); *Ragan v. Merchs. Transfer & Warehouse Co.*, 337 U.S. 530, 532 (1949); *Woods v. Interstate Realty Co.*, 337 U.S. 535, 538 (1949), *Cohen v. Beneficial Indus. Loan Corp.*, 337 U.S. 541, 555 (1949).

²¹⁶ See *York*, 326 U.S. at 109 (ruling that *Erie* requires that “the outcome of the litigation in the federal court should be substantially the same” as in state court).

²¹⁷ 356 U.S. 525 (1958).

²¹⁸ *Id.* at 537–38.

and on the other hand a state rule empowering judges, rather than juries, to make decisions classifying state workers as either employees or independent contractors in order to determine eligibility for workers compensation.²¹⁹ Here, the federal rule was found in the U.S. Constitution itself and therefore clearly constituted a fundamental federal interest, while the state interest was deemed to be only concerned with efficiently moving cases through the state court system,²²⁰ an interest that would not be implicated at all in a federal court proceeding. Thus, for the first time since *Erie*, the Supreme Court performed a true interest-balancing analysis to decide that the federal court could use a jury.²²¹

Seven years later, in *Hanna v. Plumer*,²²² the Supreme Court extended federal courts' ability to use not only the Seventh Amendment, but their own Federal Rules of Civil Procedure, in diversity cases. Recognizing that the Federal Rules of Civil Procedure were enacted pursuant to the Rules Enabling Act,²²³ a congressional statute, the Court reasoned that such a statute must preempt contrary state law under the Supremacy Clause.²²⁴ Thus, if a Federal Rule of Civil Procedure governed the relevant conflict between state and federal law, the Supremacy Clause would require the federal court to use the federal rule, notwithstanding a contrary state policy interest.²²⁵

Although surely *Hanna* was right to recognize that the Supremacy Clause is relevant to the discussion, the *Hanna* approach does not necessarily solve the core issues of legal pluralism that it was crafted to address. Instead, the interest-balancing inquiry simply moves to a different part of the analysis. Now the question becomes: is the federal procedural rule truly in conflict with the state rule or not? If yes, then the federal rule applies under the Supremacy Clause, but if not then the state rule can be used. Yet, how does one decide whether the federal rule truly is in conflict with the state rule?

From a pluralist perspective, such a determination should still be made based on balancing the core state and federal interests at stake. The more important the state interests, the more a federal court should at least try to interpret the scope of the federal rule narrowly in order to avoid a direct conflict and allow the state rule to apply. Indeed, the key question from the point of view of legal pluralism is not whether the federal provision can somehow be called

²¹⁹ *Id.* at 535.

²²⁰ *Id.* at 535–36.

²²¹ *See id.* at 535–39.

²²² 380 U.S. 460 (1965).

²²³ 28 U.S.C. § 2072 (1958 ed.).

²²⁴ *See Hanna*, 380 U.S. at 471–74.

²²⁵ *Id.*

procedural, thereby giving the substance-procedure distinction talismanic significance. Nor is it whether somehow a party can point to some federal rule that might possibly be relevant, thereby allowing the Supremacy Clause to defeat any nuanced inquiry.

Instead, the real *Erie* analysis is whether using the federal rule in federal court diversity cases would thwart core state policy judgments, as well as the pre-litigation expectations of residents of the state. In other words, is the state rule that would be displaced sufficiently policy-laden and *Erie*-worthy that using a contrary rule in federal courts would undermine state interests?

From that perspective, *Hanna* presented an easy case. The difference between the federal rule and the state rule in that instance involved the technical requirements litigants must follow to effectuate proper service of process.²²⁶ Obviously, such a difference is important to litigators; they need to follow the correct rule. But it is unlikely that the state legislature seriously fought over (or even considered) important policy questions when choosing the state's rule; at most the rule simply reflected an administrative choice that could easily have gone the other way. Nor is it likely that the precise means of service of process would have been an issue that people and advocacy groups within the state would have lobbied about. Nor is it likely that the state's service-of-process rule would have affected choices people or corporations made about whether to locate in the state. Nor is it likely that the particular service-of-process rule affected economic choices about how to organize people's pre-litigation behavior, or their business activities, or their corporate financial planning. Thus, using the Supremacy Clause to displace the state rule would not impact core *Erie*-worthy state interests at all.

Justice Harlan's important concurrence in *Hanna* relied specifically on this feature of the case.²²⁷ Harlan noted that using the federal service-of-process rule would be unlikely to affect what he called the "primary"—or pre-litigation—behavior of people and corporations in the state and therefore would be unlikely to upset the interests of the state.²²⁸ But he made clear that sometimes applying the federal law *would* cause such a disruption and that courts in applying the Supremacy Clause would therefore need to take account of the possibility that mechanically insisting on the federal rule could sometimes undermine state interests and settled expectations.²²⁹ Harlan therefore rightly focused attention not on arbitrary distinctions such as substance and procedure, but instead homed in on the core federalism concerns of *Erie*: "To my mind, the proper line of approach in determining whether to apply a state or a federal rule, whether 'substantive' or 'procedural,' is to stay close to basic principles by inquiring if the choice of rule

²²⁶ See *id.* at 461.

²²⁷ *Id.* at 474–78 (Harlan, J., concurring).

²²⁸ *Id.* at 474.

²²⁹ See *id.* at 475–76.

would substantially affect those primary decisions respecting human conduct which our constitutional system leaves to state regulation.”²³⁰

Fifteen years after *Hanna*, the Court faced what looked like it might be a straight-forward application of the *Hanna* Supremacy Clause approach. In *Walker v. Armco Steel*,²³¹ the state rule provided that a civil action was “commenced” only when the plaintiff actually served the complaint on the defendant.²³² In contrast, Rule 3 of the Federal Rules states that an action is commenced simply upon filing the complaint with the court.²³³ Thus, because both rules addressed when a civil action was deemed to have been “commenced,” the *Hanna* syllogism would suggest that the federal rule must be used, pursuant to the Supremacy Clause.

But *Walker* did *not* apply that simple syllogism, indicating that the *Hanna* test might not be as formulaic as it appeared. Instead of invoking the Supremacy Clause and allowing Rule 3 to preempt the contrary state law, the *Walker* Court embarked on a far more nuanced analysis regarding whether the federal rule and the state rule *truly* conflicted.²³⁴ And according to the Court they did not.²³⁵ The Court conceptualized the state rule as addressing the commencement of a lawsuit for purposes of determining whether the plaintiff had properly satisfied the state’s statute of limitations.²³⁶ In contrast, the federal rule, according to the Court, had nothing to do with the state statute of limitations and instead only addressed commencement for purposes of how the timing of the lawsuit would operate going forward.²³⁷ Thus, the purported conflict between the state and federal rule was deemed not to be a true conflict, and the state rule could be used in federal court, despite *Hanna*.²³⁸

²³⁰ *Id.* at 475.

²³¹ 446 U.S. 740 (1980).

²³² See OKLA. STAT. tit. 12 § 95 (1971) (“An action shall be commenced, within the meaning of this article [the statute of limitations], as to each defendant, at the date of the summons which is served on him, or on a codefendant, who is a joint contractor or otherwise united in interest with him An attempt to commence an action shall be deemed equivalent to the commencement thereof, within the meaning of this article, when the party faithfully, properly and diligently endeavors to procure a service; but such attempt must be followed by the first publication or service of the summons, ... within sixty (60) days.”).

²³³ See FED. R. CIV. P. 3 (“A civil action is commenced by filing a complaint with the court.”).

²³⁴ See *id.* at 749–53.

²³⁵ See *id.* at 752.

²³⁶ *Id.* at 752–53.

²³⁷ *Id.*

²³⁸ *Id.* at 752.

The *Walker* decision therefore suggests that federal rules can be interpreted broadly or narrowly in order to either create or avoid federal preemption under the Supremacy Clause. This more interpretive approach in turn allows courts to choose to read federal procedural rules broadly or narrowly in order to accommodate the core *Erie* federalism interests in play. If the state rule at issue implicates an important state policy choice and affects pre-litigation primary reliance interests of the sort Justice Harlan noted in *Hanna*,²³⁹ then perhaps the federal rule can be interpreted narrowly, as in *Walker*,²⁴⁰ in order to avoid a direct conflict. Thus, even under the *Hanna* formulation, courts can be responsive to the state interests that *Erie* sought to protect.

Was *Walker* an appropriate case to take such an approach? On the one hand, a state choice regarding a statute of limitations surely reflects a policy choice that implicates important decisions about how to balance the rights of plaintiffs and defendants. Likewise, a company that might expect to be sued frequently (such as a medical provider) might choose to locate in a state where the statute of limitations for tort suits is shorter. And medical malpractice insurance premiums might also be lower in such states because a shorter statute of limitations would result in fewer insurance claims. From this perspective, the state rule at issue in *Walker*, because it implicated a statute of limitations, was sufficiently policy-laden that the federal courts should try to interpret Rule 3 narrowly in order to accommodate the state's *Erie*-worthy interest. That is precisely what the *Walker* Court did.²⁴¹

On the other hand, the state rule at issue did not directly address the *length* of the statute of limitations; it only affected when a plaintiff might be deemed to have filed within the limitations period.²⁴² Thus, the only cases where the state/federal difference would matter would be cases that were right at the end of the limitations period where the plaintiff filed the complaint with the court in time, but did not serve the complaint on the defendant until after the limitations period had run. This seems unlikely to be a frequent enough occurrence to truly implicate the state policy interest involved in selecting the limitations period itself. In addition, the decision about whether a lawsuit is commenced upon filing or upon service seems—like the rules at issue in *Hanna*²⁴³—to truly be of interest only to litigants. One would be hard-pressed to imagine a state legislature engaging in heated debate on such a technical issue or to think that a corporation would choose to locate in the state based on such a minor technical difference. So, although the difference obviously mattered in this particular case, there does not appear to be an important state policy interest that would be undermined by the application of Rule 3.

²³⁹ See *Hanna*, 380 U.S. at 475.

²⁴⁰ See *Walker*, 446 U.S. at 752–53.

²⁴¹ See *id.*

²⁴² See *id.* at 742.

²⁴³ *Hanna*, 380 U.S. at 461–62.

In sum, *Walker* is a mixed bag from a pluralism point of view. Perhaps most importantly, the Court rightly created more space within the *Hanna* formulation, allowing federal courts to perform a more nuanced analysis of whether or not a federal rule really conflicts with a state rule. This analysis in turn allows courts to consider how important and *Erie*-worthy the state policy interests are, in order to decide whether it is important to interpret the federal rule narrowly to avoid undermining the state interest. These are significant and necessary glosses on the otherwise overly simplistic *Hanna* formulation. However, the actual state rule in *Walker* itself may not have deserved so much fancy footwork just to interpret the federal rule such that the state rule could still be used. Of course, the Court may have chosen to read the federal rule narrowly in part to avoid overruling *Ragan*,²⁴⁴ another case dealing with Rule 3.²⁴⁵ Such a rationale, while arguably important from the perspective of *stare decisis*, is obviously distinct from the sort of pluralist concerns of this Article. But the core teaching of *Walker* is that, regardless of the rationale, a narrower or broader reading of a federal rule is almost always possible. And a narrower reading of a federal rule is potentially appropriate whenever the federal rule might undermine *Erie*-worthy state policy interests.

The 1987 case of *Burlington Northern v. Woods*²⁴⁶ provides a useful example of how a federal rule can be interpreted either broadly or narrowly, so as to conflict or not conflict with state law. Here, the state law imposed a mandatory ten percent penalty if a defendant unsuccessfully appealed a monetary judgment,²⁴⁷ whereas Federal Rule of Appellate Procedure 38 allows federal courts to award damages for frivolous appeals.²⁴⁸ Are those two rules in conflict? On the one hand, they are in conflict because the state rule mandates a penalty for all unsuccessful appeals, but the federal rule only awards a penalty for frivolous appeals, presumably a higher bar to clear. But on the other hand, a federal court could use the state rule and then apply Federal Rule 38 to impose an *additional* penalty for an appeal that was not only unsuccessful but also frivolous. Viewed in that way, both rules can be given full voice.

So, should the state rule be used in federal court? This is a close call. The state rule is clearly pursuing a policy goal to discourage appeals. If the state adopted this rule merely to

²⁴⁴ *Ragan v. Merchs. Transfer & Warehouse Co.*, 337 U.S. 530 (1949).

²⁴⁵ *Id.* at 531, 531 n.3 (citing FED. R. CIV. P. 3).

²⁴⁶ 480 U.S. 1 (1987).

²⁴⁷ See ALA. CODE § 12–22–72 (1986) (“When a judgment or decree is entered or rendered for money, whether debt or damages, and the same has been stayed on appeal by the execution of bond, with surety, if the appellate court affirms the judgment of the court below, it must also enter judgment against all or any of the obligors on the bond for the amount of the affirmed judgment, 10 percent damages thereon and the costs of the appellate court”).

²⁴⁸ See FED. R. APP. P. 38 (“If the court of appeals shall determine that an appeal is frivolous, it may award just damages and single or double costs to the appellee.”); FED. R. APP. P. 38 advisory committee’s note (“[Under Rule 38,] damages are awarded by the court in its discretion in the case of a frivolous appeal as a matter of justice to the appellee and as a penalty against the appellant.”).

unclog state court appellate dockets, that would not be an *Erie*-worthy concern because if such appeals were not penalized in the federal system that would not do anything to burden the state appellate docket. However, if the state adopted its rule to encourage losing defendants to pay plaintiffs more quickly without delaying by filing an appeal, then that interest would be undermined if defendants in diversity suits could skirt the state rule. Of course, there are also potential federal constitutional Due Process Clause appeal rights to be considered on the other side. Thus, the decision is not easy, and the Court's decision to apply the federal rule is defensible. But however one comes out, the key point for our purposes is that a mechanical application of the Supremacy Clause neither clearly answers the question nor sufficiently addresses the core pluralist interest balancing analysis that both *Erie* and federalism require.

Perhaps the best example of how to proceed when both the federal interests and the state interests are very strong is the Court's creative effort to thread the federal/state needle in the 1996 case of *Gasperini v. Center for Humanities, Inc.*²⁴⁹ In *Gasperini*, New York had passed a tort reform statute that sought to rein in what were perceived to be excessive jury awards.²⁵⁰ Regardless of whether one chooses to call the provision substantive or procedural or whether or not one happens to agree with New York's policy choice, there can be little doubt that it was in fact a policy-laden choice, unlike, say, the service-of-process provision in *Hanna*.²⁵¹ And it would surely undermine the aims of the New York law if the tort reform provision enacted after much debate in the state would suddenly be circumvented in all diversity cases. Finally, frequent litigants, such as medical providers, might well choose to locate in New York because of the tort reform provision. Or perhaps their medical malpractice insurance premiums would be lower because insurers would rely on the tort reform measure when making actuarial decisions about possible pay-outs. All of those interests (none of which was present in *Hanna*) would be undermined if the state provision were ignored in diversity cases.

So, what to do? Well, under the statute, state appellate courts were empowered to review the size of jury verdicts and to order new trials whenever the jury's award "deviate[d] materially from what would be reasonable compensation."²⁵² Thus, it would seem that, if such a situation happened to arise in a state law case brought in federal court, the federal appellate court should, pursuant to *Erie* and its progeny, apply the New York law allowing appellate reexamination of the jury verdict. However, under the Seventh Amendment of the U.S. Constitution, which governs proceedings in federal court but not in state court, "the right of trial by jury shall be preserved, and no fact tried by a jury, shall be otherwise reexamined in any Court of the United

²⁴⁹ 518 U.S. 415 (1996).

²⁵⁰ *Id.* at 423.

²⁵¹ *See Hanna*, 380 U.S. at 461.

²⁵² N.Y. C.P.L.R. § 5501(c) (MCKINNEY 1995).

States, than according to the rules of the common law.”²⁵³ This provision would normally block a federal court from conducting the sort of review mandated by the New York law. Accordingly, the U.S. Supreme Court was faced with a very difficult *Erie* conundrum.²⁵⁴

Justice Scalia, in dissent, took the jurispathic path, arguing categorically that federal courts must follow the Seventh Amendment’s command, regardless of what a New York court would do.²⁵⁵ Thus, the New York law would have no impact at all in a federal diversity suit. In contrast, Justice Ginsburg, writing for the majority, worked hard to create a Solomonic, more pluralist, solution whereby both New York’s tort reform interests and the Seventh Amendment could be accommodated.²⁵⁶

To do this, Justice Ginsburg construed the Seventh Amendment’s Reexamination Clause to apply to federal *appellate* courts but not to the traditional power of federal *trial* judges to grant new trials notwithstanding a contrary jury verdict.²⁵⁷ She reasoned that New York’s law reviewing compensation awards for excessiveness or inadequacy could be given effect, without detriment to the Seventh Amendment, if the review standard set out in the state statute were applied by the federal trial court judge, with appellate control of the trial court’s ruling confined to “abuse of discretion.”²⁵⁸ Under this approach, the trial judge could apply state law reviewing the jury verdict, thereby retaining this state policy choice in state law cases tried in federal courts,²⁵⁹ while the Seventh Amendment prohibition on reexamining jury verdicts would continue to bind the federal appellate court—absent a flagrant abuse of discretion.²⁶⁰

Whatever one thinks of Justice Ginsburg’s analysis,²⁶¹ what is most significant for our purposes is the extraordinarily creative way in which she worked to accommodate legal pluralism by giving voice to both the state and federal interests. Had the Court adopted Justice Scalia’s approach, a litigant from outside New York involved in a state lawsuit with a New

²⁵³ U.S. CONST. amend. VII.

²⁵⁴ *Gasperini*, 518 U.S. at 418–19.

²⁵⁵ *See id.* at 450 (Scalia, J., dissenting).

²⁵⁶ *See id.* at 418–39 (majority opinion).

²⁵⁷ *See id.* at 432–35.

²⁵⁸ *Id.* at 419.

²⁵⁹ *See id.* at 437–39.

²⁶⁰ *See id.* at 419.

²⁶¹ *See* Richard D. Freer, *Some Thoughts on the State of Erie After Gasperini*, 76 TEX. L. REV. 1637, 1657–58 (1998) (critiquing the decision); C. Floyd Douglas, *Erie Awry: A Comment on Gasperini v. Center for Humanities, Inc.*, 1997 BYU L. REV. 267 (1997) (same).

Yorker would be able to avoid the state’s tort reform provision simply by filing that case in, or removing that case to, federal court. On the other hand, had the Court simply applied the state law without limitations, it would have been ignoring the significant command of the U.S. Constitution regarding the sanctity of jury verdicts. By splitting the difference, the Court arguably protected the core of both the state and federal interests at stake.²⁶²

In *Shady Grove Orthopedic Associates, P.A. v. Allstate Insurance Co.*,²⁶³ Justice Ginsburg, this time in dissent, again sought to vindicate both state and federal interests in an *Erie* case. Here, the question was whether, in a federal court, Rule 23 of the Federal Rules of Civil Procedure, governing class actions, would override another New York state law, this one aimed at preventing any kind of suit based on a statutory penalty from being brought as a class action.²⁶⁴ Justice Scalia’s plurality opinion again took the jurispactic position that because the state law addressed class-action suits it was necessarily preempted by Rule 23 in cases heard in federal courts.²⁶⁵ Justice Ginsburg chose a more nuanced reading. She took Justice Scalia to task for “relentlessly” making choices that would override state law.²⁶⁶ Instead, she pointed out—in true pluralist fashion—that “before undermining state legislation” the Court should ask whether the federal and state laws truly conflict.²⁶⁷ Thus, in contrast to the plurality opinion, she “would continue to interpret Federal Rules with awareness of, and sensitivity to, important state regulatory policies.”²⁶⁸ Taking this approach, she read Rule 23 to dictate only the *procedures* for certifying and pursuing a class-action claim. In contrast, she argued, the New York state law addressed what sort of *relief* could be pursued through the class mechanism.²⁶⁹ And, as with *Gasperini*, regardless of whether one agrees with her particular way of accommodating both

²⁶² The Court arguably reached a similarly Solomonian result in an earlier case, *Stewart Organization, Inc. v. Ricoh Corporation*, which, even while applying federal law, also left open the possibility that federal courts could accommodate both federal and state interests. 487 U.S. 22 (1988). In that case, the Court ruled that federal courts must be guided by the federal venue statute when deciding whether to enforce a contractual choice of forum clause, despite a state policy that disapproved of choice of forum clauses that moved cases outside the state. *Id.* at 32. However, the Court acknowledged that despite the need to apply federal law, federal judges could nevertheless take account of the state interest in keeping the case in-state when making the discretionary decision whether to actually grant the venue transfer request. *Id.* at 30 (noting that the District Court may “integrate” the state’s public policy disfavoring choice-of-forum clauses into “its weighing of considerations” for transferring venue under the federal statute).

²⁶³ 559 U.S. 393 (2010).

²⁶⁴ *Id.* at 397–398.

²⁶⁵ *See id.* at 398–406.

²⁶⁶ *Id.* at 437 (Ginsburg, J., dissenting).

²⁶⁷ *Id.*

²⁶⁸ *Id.*

²⁶⁹ *Id.* at 446–47.

federal and state law, there can be no doubting her passion to pursue an approach to *Erie* that attempted to provide maximum space for the effectuation of important state policy judgments along with the federal interests.²⁷⁰

Justice Stevens provided the crucial fifth vote for applying Rule 23 in *Shady Grove*.²⁷¹ But he took a markedly different route than Justice Scalia. Whereas Scalia paid no attention to the possible state interests involved, Stevens argued that those interests could and should be accommodated through a more rigorous application of the Rules Enabling Act,²⁷² the federal statute through which the Federal Rules of Civil Procedure were adopted.²⁷³ Most important for Justice Stevens' analysis, the Rules Enabling Act provides that a federal rule, in order to be valid, cannot "abridge, modify, or enlarge a state substantive right."²⁷⁴ Accordingly, although the Court has often treated this language as inapplicable as long as the federal rule at issue is vaguely procedural,²⁷⁵ Justice Stevens sought to take it seriously by asking whether Rule 23, at least as applied in this particular case, would in fact abridge, modify, or enlarge a state substantive right.²⁷⁶

Justice Stevens' approach creates the possibility that a federal rule might be valid under the Rules Enabling Act in some contexts (or in some states) but invalid in other contexts, which seems like an awkward way of understanding the operation of the statute. But at least Stevens' approach would have the Court ask whether application of a federal rule would actually undermine a state substantive right. And presumably if it did, Justice Stevens would forbid federal courts from using the rule in that context.

In the end, Stevens decided that the particular New York statute at issue in *Shady Grove* was sufficiently procedural that the Rules Enabling Act was not violated.²⁷⁷ According to Stevens, the New York statute applied to any statutory penalty across the entire statute book, so it was not connected to a particular substantive law.²⁷⁸ Therefore he was willing to concur in favor

²⁷⁰ See *id.* at 439, 443.

²⁷¹ *Id.* at 416 (Stevens, J., concurring).

²⁷² 28 U.S.C. § 2072.

²⁷³ See *id.* at 419–24.

²⁷⁴ 28 U.S.C. § 2072(b).

²⁷⁵ See, e.g., *Sibbach v. Wilson & Co.*, 312 U.S. 1 (1941); *Hanna v. Plumer*, 380 U.S. 460 (1965); *Burlington Northern Railroad Co. v. Woods*, 480 U.S. 1 (1987).

²⁷⁶ See *Shady Grove*, 559 U.S. at 431.

²⁷⁷ *Id.* at 436.

²⁷⁸ *Id.* at 432.

of the application of federal law.²⁷⁹ But the key point is that Stevens actually sided with Ginsburg regarding the fundamental idea that before simply applying federal rules under the Supremacy Clause there must first be an inquiry as to the type of state interests that would be undermined.²⁸⁰ Thus, a fair reading of *Shady Grove* finds five votes for the idea that weighing state interests is necessary.

Nevertheless, this reading of *Shady Grove* was completely ignored by the Supreme Court in its 2026 opinion in *Berk v. Choy*,²⁸¹ the Court's first major *Erie* case since *Shady Grove*. In *Berk*, the question was whether federal courts must apply a Delaware statute that requires plaintiffs filing a complaint in a medical malpractice case to include an "affidavit-of-merit" stating a qualified expert's opinion that "there are reasonable grounds to believe that the applicable standard of care was breached by the named defendant or defendants and that the breach was a proximate cause" of the plaintiff's alleged injuries.²⁸² As with *Gasperini*, there can be little doubt that Delaware enacted the statute for *Erie*-worthy reasons. The statute aims to weed out potentially frivolous suits by creating an extra requirement when bringing a suit alleging medical malpractice. Thus, it is the sort of statute that reflects a clear policy choice and that would almost certainly have been fought about in the state legislature and that was enacted specifically to help medical providers and their insurers. In addition, it is also the sort of statute that might cause a medical provider to locate in Delaware and would also likely affect the cost and pricing structure for medical services in the state. All of those substantial state interests would be undermined if the statutory provision could be sidestepped every time litigants happen to be diverse and can therefore proceed in federal court.

However, federal courts use Federal Rules of Civil Procedure 8 and 9, which govern the filing of complaints. Rule 8 famously requires only "a short and plain statement of the claim showing that the pleader is entitled to relief."²⁸³ And Rule 9, which adds pleading requirements in certain designated types of cases, does not mention medical malpractice cases.²⁸⁴ Accordingly, there is no doubt that the federal rules do not require the sort of affidavit that Delaware does.

How might this conflict be resolved? Given that the Delaware rule clearly reflects a state policy choice and given that the potential reliance interests are significant, the state choice is entitled to deference. Thus, if we care at all about federalism or pluralism, we should want

²⁷⁹ *Id.* at 436.

²⁸⁰ *Id.* at 418.

²⁸¹ 607 U.S. __ (2026).

²⁸² DEL. CODE ANN. tit. 18, §§ 6853(a)(1), 6853(c) (2025).

²⁸³ FED. R. CIV. P. 8

²⁸⁴ FED. R. CIV. P. 9

federal courts to at least try to apply their rules of procedure in a restrained way so that both state and federal interests can be accommodated, rather than insisting that the Federal Rules wipe out the state interests altogether.

Accordingly, the key question becomes: can Rule 8 be applied in a restrained way here to accommodate state interests? The answer is yes, following a path similar to the one that Justice Ginsburg took in *Shady Grove*. One need only conceptualize the Delaware statute not as a pleading rule, but as a rule that adds an additional element to the medical malpractice tort itself. Then, Rule 8 can still be used to require only a short and plain statement of the claim, but “the claim” under state law would include the affidavit. Thus, both Rule 8 and the Delaware statute can comfortably co-exist. Indeed, this is perhaps the most natural reading of the Delaware statute anyway, because it is not a statute that is part of Delaware’s code of procedure that might reasonably apply across all kinds of civil suits; instead, it is specifically focused on medical malpractice suits. Thus, the argument for using Delaware law is even stronger than in *Shady Grove*, where the New York law operated to block class actions across many different kinds of suits.²⁸⁵ Indeed, as discussed above,²⁸⁶ Justice Stevens, who provided the crucial fifth vote in *Shady Grove*, did so *only* because he saw the New York statute at issue in that case as part of New York’s civil procedure law and therefore opined that applying FRCP 23 would not “abridge, modify, or enlarge a state substantive right” under the Rules Enabling Act.²⁸⁷ In contrast, the Delaware statute in *Berk* is far more obviously substantive, and Justice Stevens, were he still on the Court, would likely rule that Rule 8 should not be applied in a way that would abridge the Delaware statutory requirement.

Although the Delaware statute can be read not to conflict with Rule 8, it may well conflict with Rule 3²⁸⁸ because the Delaware rule purports to prevent the clerk of the court from even docketing the complaint unless it is accompanied by an affidavit of merit.²⁸⁹ This provision conflicts with Rule 3, which contains no such limitation, and because this conflict involves a technical docketing rule without as much of a policy impetus behind it (and because reliance interests are less implicated when we are talking about this sort of filing rule), a federal court might plausibly determine that the Delaware statute cannot be enforced because of Rule 3. Such a ruling would mean that other state statutes that add claim requirements in medical malpractice or other sorts of cases might still be enforced in federal court, so long as they did not also include the sort of docketing provision found in the Delaware statute.²⁹⁰ Thus, a ruling based on Rule 3,

²⁸⁵ See *Shady Grove*, 559 U.S. at 401–02 (plurality opinion).

²⁸⁶ See *supra* text accompanying notes 269–78.

²⁸⁷ See *Shady Grove*, 559 U.S. at 431–36 (Stevens, J., concurring).

²⁸⁸ FED. R. CIV. P. 3.

²⁸⁹ See *Berk*, 607 U.S. ___, slip op. at 8–9 (Jackson, J., concurring).

rather than Rule 8, would have the added virtue of sweeping no further than necessary to resolve this particular case.²⁹¹

Unfortunately, the Supreme Court majority in *Berk* took the opposite path, applying a completely categorical, jurispathic approach to the Supremacy Clause and its application. Justice Barrett’s opinion for the Court treated Justice Scalia’s plurality opinion in *Shady Grove* as if it were a majority, ignoring Justice Stevens’ concurrence.²⁹² Even worse, while treating the *Shady Grove* plurality opinion as if it were binding precedent,²⁹³ the Court failed to even cite *Gasperini* or *Byrd*, which actually were majority opinions that should have been accorded precedential effect.²⁹⁴

Instead, the Court applied the most mechanical possible formulation of *Hanna*. The Court first observed that, under *Hanna*, “a valid Rule of Civil Procedure displaces contrary state law even if the state law would qualify as substantive under *Erie*’s test” because of the Supremacy Clause.²⁹⁵ This is correct as far as it goes, but as discussed above²⁹⁶ the key question then becomes

²⁹⁰ Many states require an affidavit or certificate of merit for claims against licensed professionals, but, unlike Delaware, do not condition the filing or docketing of a complaint on the receipt of the affidavit. *See, e.g.*, ARIZ. REV. STAT. § 12–2602; CAL. CIV. PRO. § 411.35; COLO. REV. STAT. § 13–20–602; GA. CODE § 9–11–9.1(g); MD. CTS. & JUD. PROC. § 3–2C–01; NEV. STAT. § 40.6884; N.J. REV. STAT. §§ 2A:53A–27; ORE. REV. STAT. §§ 31.300, 31.350. And some states require that medical malpractice claims be reviewed by a medical malpractice review board before suit may proceed. *See, e.g.*, IDAHO CODE § 6–1001; Ind. Code § 34–18–8–4; LA. STAT. ANN. § 40:1231.8; ME. STAT. tit. 24, § 2851; MONT. CODE ANN. § 27–6–701; N.M. STAT. ANN. § 41–5–15; UTAH CODE ANN. § 78B–3–416. Meanwhile, Virginia provides for optional, post–pleading review by a medical malpractice review panel at the request of either party, with the panel’s opinion admissible but nonbinding in subsequent judicial proceedings. *See* Va. Code Ann. §§ 8.01–581.2, 8.01–581.8. In future, lower courts will likely be asked to apply *Berk* to all of these different variations.

²⁹¹ *See generally* CASS R. SUNSTEIN, ONE CASE AT A TIME: JUDICIAL MINIMALISM ON THE SUPREME COURT (1999).

²⁹² Indeed, without so much as mentioning Stevens’ concurrence, the majority repudiated it. *See Berk*, 607 U.S. ___, slip op. at 7 (majority opinion) (“[T]he substantive nature of [a state] law, or its substantive purpose, makes no difference. *Shady Grove*, 558 U.S. at 409. To determine whether a Rule is valid under the Rules Enabling Act, the only question is whether it ‘really regulates procedure.’ *Sibbach*, 312 U.S. at 14. Rule 8 does, so it governs, and Delaware’s affidavit law does not apply in federal court.”).

²⁹³ *See id.*

²⁹⁴ *See Berk*, 607 U.S. ___, slip op. at 7 n. 1 (Jackson, J., concurring) (“To the extent that the Court suggests that the Federal Rule’s plain text is all that matters when answering this question, that is not what our precedents hold. In [*Gasperini*,] we explained that Federal Rules must be interpreted not solely based on their text, ... but also ‘with sensitivity to important state interests and regulatory policies.’ The majority opinion in *Shady Grove* subsequently criticized *Gasperini*’s ‘search for state interests and policies that are important’ as ‘standardless.’ But five Justices in that case (i.e., a majority) agreed nevertheless with *Gasperini*’s approach to interpreting federal rules in that context. So, under our precedents, courts must be mindful of state interests and policies when determining whether a Federal Rule conflicts with state law.”) (internal citations omitted).

²⁹⁵ *Id.* at 3 (majority opinion).

²⁹⁶ *See* text accompanying notes 223–43.

whether the federal and state rule are truly “contrary” or whether instead the federal rule can be interpreted narrowly in order to avoid undermining a state’s substantive policy goals or the settled expectations of citizens of that state as they pursue their primary, pre-litigation activities. But on that question, the *Berk* Court completely abdicated any responsibility. Instead, the Court adopted Justice Scalia’s formalist approach: if there is a federal rule that potentially “answers the question in dispute,” then that is sufficient for the Supremacy Clause to require the use of federal law, with no further inquiry required.²⁹⁷ The Court did not even entertain the possibility that a federal rule could be read narrowly so as not to displace state law, as the Court did in both *Gasperini*²⁹⁸ and *Walker*.²⁹⁹ Instead, Justice Barrett blithely relied on what she termed the “plain meaning” of the federal rule,³⁰⁰ without pursuing the range of plain meanings that Rule 8 might actually permit in this context.

As a result of *Berk*, the pendulum swing is complete. As discussed above,³⁰¹ in the decade immediately following *Erie*, the Supreme Court simply applied state law whenever there was any difference between state and federal law, without analyzing the relative weight of the state and federal interests at play. And now *Berk*, picking up on the *Shady Grove* plurality’s interpretation of *Hanna*, has gone all the way in the other direction. Now, any arguably procedural federal law will always be used, again regardless of the relative weight of the state and federal interests at play.

However, both of these extremes are wrong from a pluralist perspective because both ignore the actual purpose of the *Erie* doctrine itself, which is to *balance* the needs of the federal courts to operate pursuant to federal law against the imperative to honor state policy choices that should receive full voice in a federalist pluralist system. As Justice Jackson rightly pointed out in her opinion concurring only in the judgment in *Berk*, “Federal Rules must be interpreted not solely based on their text, but also ‘with sensitivity to important state interests and regulatory policies.’”³⁰² Thus, the early post-*Erie* cases wrongly turned federal courts into “ventriloquist dummies” for the states,³⁰³ without recognizing the important role that federal diversity

²⁹⁷ See *Berk*, 607 U.S. 607 ___, slip op. at 3.

²⁹⁸ See *Gasperini*, 518 U.S. at 427 & n.7.

²⁹⁹ See *Walker*, 446 U.S. at 751.

³⁰⁰ *Berk*, 607 U.S. ___, slip op. at 3.

³⁰¹ See *supra* text accompanying notes 213–14.

³⁰² *Berk*, 607 U.S. ___, slip op. at 7 n. 1 (quoting *Gasperini*, 518 U. S. at 427 n.7).

³⁰³ Herbert Wechsler, *Federal Jurisdiction and the Revision of the Judicial Code*, 13 L. & CONTEMP. PROBS. 216, 238–39 (1948) (“[T]he worst part of diversity jurisdiction is that it debases the judicial process, reducing federal judges to what Judge Frank has called ‘ventriloquist dummy to the courts of some particular state’—because they lack the requisite authority to speak themselves.”) (quoting *Richardson v. Commissioner*, 126 F.2d 562, 567 (2d Cir. 1942) (Frank, J.)).

jurisdiction should play in creating an alternative forum with its own rules. But the approach the Supreme Court is currently pursuing ignores state interests entirely, arguably repeating some of the very problems that *Erie* was designed to address. Indeed, even if the Court were to someday overrule *Erie*, a federal court should still extend more deference to state policy choices than the Supreme Court did in *Berk*.

Because the Delaware law was particularly extreme, preventing even the filing and docketing of a suit, the ultimate conclusion in *Berk* that the federal court need not follow state law in this particular case may be justified, even though its analytical framework runs counter to the federalism concerns animating *Erie*. So, the immediate future of the *Erie* doctrine will now turn on how lower federal courts apply *Berk* in addressing state laws that add requirements to causes of action—arguably implicating Rule 8’s pleading standard—but do not go as far as Delaware’s law. Hopefully, in such cases federal courts will return to the nuanced interest-balancing inquiry of *Gasperini*, *Byrd*, and *Walker*, none of which was explicitly overruled in *Berk*. Otherwise, the fundamental *Erie* balance will remain askew, and parties will be able to avoid the application of significant state policy choices simply by suing in federal court.

PART V: MISUSE OF *ERIE* IN CASES NOT RAISING FEDERALISM ISSUES AT ALL

As discussed in Part IV, the Supreme Court has at times (and wrongly in my view) applied the *Erie* doctrine to allow federal law to override significant state policy interests. Yet paradoxically, the Court has also at times (again wrongly) invoked *Erie* to *prevent* federal law from being deployed to provide remedies in cases that do not raise state law issues at all. In these instances, justices are turning Justice Brandeis’ statement that “there is no federal general common law”³⁰⁴ into a blanket prohibition on federal judges using common law adjudication, even to interpret federal constitutional or statutory provisions.

This is a distortion of *Erie*. As explained in Part III, *Erie* responded to a specific federalism concern: that federal courts, sitting in diversity, were displacing existing state law under the pretense of applying general common law. Thus, outside of a federal/state choice-of-law problem, *Erie* has no relevance. Yet, despite *Erie*’s clear federalism context, both the Court and various justices have invoked *Erie* in doctrinal settings where state law is not at issue. It is no doubt true that *Erie* reflected a positivist conception of law tied to a sovereign.³⁰⁵ But when federal courts are interpreting federal constitutional and statutory law, that law *is* tied to a

³⁰⁴ *Erie*, 304 U.S. at 78.

³⁰⁵ See *Erie*, 304 U.S. at 79 (quoting *Black and White Taxicab*, 276 U.S. at 533 (Holmes, J., dissenting)) (rejecting as a “fallacy” the notion of a “transcendental body of law outside of any particular State but obligatory within it unless and until changed by statute”); *Sosa v. Alvarez-Machain*, 542 U.S. 692, 726 (2004); Bradley & Goldsmith, *supra* note 199, at 852 (describing *Erie* as “embrac[ing] legal positivism” by “requir[ing] federal courts to identify the sovereign source for every rule of decision.”).

sovereignty, the federal government itself. So, the real question is whether federal judges are going too far when they interpret federal law. And that is perhaps a debate worth having. But nothing in *Erie* addresses that question one way or the other.

This Part first focuses on the Court's use of *Erie* in so-called *Bivens* actions involving tort claims brought against government officials directly under the U.S. Constitution. Then, it addresses the use of *Erie* to limit application of customary international law in cases brought under federal statutes. I take no position on the merits of any of these cases. Instead, I simply argue that whatever the pros and cons of denying or limiting federal remedies in these circumstances might be, *Erie* has nothing to say on the subject and should be excised from any further discussion regarding cases that involve only federal law. Because these contexts are purely federal and do not encroach upon state prerogatives at all, *Erie* has no role to play in the analysis.

A. Constitutional Remedies in *Bivens* Actions

In the 1971 case of *Bivens v. Six Unknown Named Agents*,³⁰⁶ the U.S. Supreme Court first recognized the possibility that plaintiffs could bring claims against government officials directly under the U.S. Constitution.³⁰⁷ Since that time, these sorts of *Bivens* actions have been controversial,³⁰⁸ and as noted above I take no position in this Article regarding whether such actions should or should not be cognizable, nor how far they should extend. Here, I deal only with the misuse of *Erie* in the analysis of such cases.

In *Hernández v. Mesa*³⁰⁹ the Supreme Court invoked *Erie* to justify limiting the availability of the constitutional damages remedy.³¹⁰ Declining to extend *Bivens* to address the Fourth and Fifth Amendment violations alleged by the plaintiff against a federal border patrol agent, the Court treated *Erie*'s rejection of "federal general common law"³¹¹ as evidence that

³⁰⁶ 403 U.S. 388 (1971).

³⁰⁷ *Id.* at 392.

³⁰⁸ See Alexander A. Reinert, *Measuring the Success of Bivens Litigation and Its Consequences for the Individual Liability Model*, 62 STAN. L. REV. 809 ("Almost from the moment the decision was announced in 1971, [*Bivens*] has stirred controversy within judicial and academic circles.").

³⁰⁹ 589 U.S. 93 (2020).

³¹⁰ *Hernández*, 589 U.S. at 114. *Erie* had been mentioned in *Bivens* cases prior to *Hernández*, but only twice and only in non-majority opinions. See *Bivens*, 403 U.S. at 405 (1971) (Harlan, J., concurring) (acknowledging *Erie*'s rejection of federal general common law, while grounding a damages remedy in the judiciary's responsibility to enforce constitutional rights); *Carlson v. Green*, 446 U.S. 14, 32 (1980) (Rehnquist, J., dissenting) (arguing that, after *Erie*, federal courts lack authority to "create causes of action" absent congressional authorization). In the forty years between *Carlson* and *Hernández*, *Erie* was not cited by any Justice in the Court's *Bivens* jurisprudence.

³¹¹ *Erie*, 304 U.S. at 78.

federal courts lack authority to recognize any new *Bivens* actions.³¹² According to the Court, “[a]lthough common-law tort actions against federal officers were once available, *Erie* held that ‘[t]here is no federal general common law,’ and therefore courts today cannot fashion new claims in the way they could before 1938.”³¹³ On this view, “a federal court’s authority to recognize a damages remedy must rest at bottom on a statute enacted by Congress, and no statute expressly creates a *Bivens* remedy.”³¹⁴

This reasoning recasts *Erie* from a diversity-specific federalism decision into a sweeping limitation on judicial authority across all contexts. Consequently, the Court treated *Bivens* actions as a vestige of an “*ancien régime*”³¹⁵—one it suggests would not be decided the same way if presented for the first time today.³¹⁶ This, of course, is despite the fact that *Bivens* itself was decided long after 1938, and the Court in *Bivens* clearly did not see *Erie* as an obstacle, which is not surprising, given that the claim at issue was grounded in the federal constitution, not state common law. Indeed, the entire basis for federal court jurisdiction in *Bivens* was federal question jurisdiction, not diversity, which of course was the crucial context of *Erie*. Yet, although the *Hernández* Court briefly acknowledged Justice Harlan’s concurrence in *Bivens*, which explicitly located the constitutional damages remedies at issue in the grant of federal question jurisdiction,³¹⁷ the Court dismissed that view on the ground that “our later cases have demanded a clearer manifestation of congressional intent.”³¹⁸

The Court’s reliance on *Erie* in this setting does not withstand scrutiny.³¹⁹ Indeed, the federalism concerns animating *Erie* are wholly absent from constitutional damages actions against federal officers. No state law is threatened, displaced, or even implicated. To the contrary, Congress has ensured that state tort law can play no role in this domain: the Westfall Act makes the federal government the exclusive arbiter of tort claims arising from the conduct of federal

³¹² *Hernández*, 589 U.S. at 100.

³¹³ *Id.*

³¹⁴ *Id.* at 101 (internal citations omitted).

³¹⁵ *Id.* at 99. See Carlos M. Vázquez, *Bivens and The Ancien Régime*, 96 NOTRE DAME L. REV. 1923 (2021) (critiquing *Hernández*’s treatment of *Bivens* as an anachronistic product of a prior judicial regime).

³¹⁶ *Hernández*, 589 U.S. at 101.

³¹⁷ *Id.* (citing *Bivens*, 403 U.S. at 405 (Harlan, J., concurring)). Justice Harlan also observed that the *Bivens* context is particularly well suited for governance by federal common law, rather than subjecting federal officers to fifty different state tort regimes. *Bivens*, 403 U.S. at 409 (Harlan, J., concurring). See also Robert R. Gasaway & Ashley C. Parrish, *In Praise of Erie—And Its Eventual Demise*, 10 J.L. ECON. & POL’Y 225, 249 (2013) (arguing that federal courts should return to using general common law to govern *Bivens* actions).

³¹⁸ *Hernández*, 589 U.S. at 101.

³¹⁹ See Stephen I. Vladeck, *The Disingenuous Demise and Death of Bivens*, 2020 CATO SUP. CT. REV. 263, 264 (2020).

officers, while expressly preserving claims alleging violations of the U.S. Constitution.³²⁰ The *Hernández* Court acknowledged the Act only in passing, asserting that Congress had “le[ft] *Bivens* where it found it,” granting no “license to create a new *Bivens* remedy.”³²¹ That may or may not be the correct reading of the Westfall Act. But the bottom line is that because state law was not even an option in *Hernández*, then *Erie*, a doctrine concerned with federal courts’ displacement of state law, had no relevance.

In any event, Justice Alito’s opinion for the Court offers no real explanation for its use of *Erie*. After citing *Erie*, the opinion quickly pivots to more general separation-of-powers concerns and does not otherwise return to the case.³²² Significantly, neither party in *Hernandez* mentioned *Erie* in their briefs³²³—an omission that underscores how unexpected its appearance was in this setting. The concurring opinions reinforce this point. Although Justices Thomas and Gorsuch went so far as to argue that even existing *Bivens* remedies are unconstitutional as a matter of separation of powers,³²⁴ their analysis does not return to *Erie*—likely because, beyond the isolated soundbite invoked by the majority, there is nothing else in *Erie* to engage with at all.

While *Hernández* made its reliance on *Erie* explicit, the Court’s next *Bivens* decision, *Egbert v. Boule*,³²⁵ more subtly extended that approach. Unlike *Hernández*, *Egbert* did not cite *Erie* directly. Instead, it simply inherited *Hernández*’s separation-of-powers framing—grounded in its reading of *Erie*—repeatedly quoting *Hernández*’s language about the demise of federal common law and the supposed constitutional tension posed by judicially recognized causes of action.³²⁶ On that basis, the *Egbert* Court treated its refusal to extend *Bivens* to Fourth Amendment excessive-force and First Amendment retaliation claims as a foregone conclusion.³²⁷ While the Court stopped short of overruling *Bivens*, it once again suggested that the case is out of

³²⁰ 28 U.S.C. § 2679(b).

³²¹ *Hernández*, 589 U.S. at 111 n.9. When Congress enacted the Westfall Act in 1988, the *Bivens* doctrine it “found” reflected a broader understanding of implied constitutional remedies than the Court applies today. In the years leading up to enactment, the Court had recognized *Bivens* remedies for a range of constitutional violations. See *Bivens*, 403 U.S. at 388 (1971) (Fourth Amendment), *Davis v. Passman*, 422 U.S. 288 (1979) (Fifth Amendment); *Carlson*, 446 U.S. at 14 (1980) (Eighth Amendment). The Act preserved such claims against that backdrop.

³²² *Id.* at 113.

³²³ See Br. for Petitioner, *Hernández*, 589 U.S. 93 (No. 15–118); Br. for Respondent, *Hernández*, 589 U.S. 93 (No. 15–118); Br. for Federal Respondents, *Hernández*, 589 U.S. 93 (No. 15–118).

³²⁴ See *Hernández*, 589 U.S. at 114 (Thomas, J., concurring, joined by Gorsuch, J.).

³²⁵ 596 U.S. 482 (2022).

³²⁶ *Id.* at 491, 492, 493, 495.

³²⁷ The Court characterized implied remedies as remnants of an earlier era in which courts “assumed common-law powers to create causes of action.” *Id.* at 492. But, in the Court’s words, those “heady days have long passed,” and “at bottom, creating a cause of action is a legislative endeavor.” *Id.*

line with its revised understanding of the proper scope of judicial power—an understanding it implicitly traced to *Erie*.³²⁸

The Supreme Court’s injection of *Erie* into this area has had predictable downstream effects. By reframing *Erie* as a limit on the judicial creation of *Bivens* remedies in *Hernández*, and reiterating that framing without further analysis in *Egbert*, the Court invited lower courts to treat constitutional damages actions as effectively foreclosed. A recent decision in the Third Circuit illustrates the consequences. In *Muniz v. United States*,³²⁹ the court relied on *Hernández*, *Egbert*, and *Erie* together to deny a *Bivens* remedy even for an Eighth Amendment deliberate-indifference claim³³⁰ that was strikingly similar to a type of *Bivens* claim the Court had previously blessed.³³¹ Echoing the Supreme Court’s reasoning in *Hernández*, the Third Circuit concluded that after *Erie* “there is no federal general common law,” and that as a result, “a federal court’s authority to recognize a damages remedy was at best uncertain.”³³² Thus, what began as an unexamined reliance on *Erie* in *Hernández* has hardened into a normalized premise for denying constitutional damages remedies altogether.³³³

B. The Use of International Law to Interpret Federal Statutes

The Court’s inclination to treat *Erie* as a one-size-fits-all constraint on judicial lawmaking has also migrated into its international law jurisprudence. Although the constitutionality of, and appropriate role for, international law in the U.S. legal system has been debated at length elsewhere,³³⁴ my claim here is narrower: invoking *Erie* as a categorical bar to federal courts’

³²⁸ *Id.* at 502.

³²⁹ 149 F.4th 256 (3d Cir. 2025).

³³⁰ *Id.* at 260 (quoting *Erie*, 304 U.S. at 78); *Id.* at 263 (citing).

³³¹ See *Carlson*, 446 U.S. at 14.

³³² *Muniz*, 149 F.4th at 260.

³³³ To be sure, the *Muniz* court also relied on the Supreme Court’s decision in *Ziglar v. Abbasi*, which had ruled that courts should not expand *Bivens* to what the Court called “new context[s].” *Ziglar v. Abbasi*, 582 U.S. 120, 136 (2017). But significantly, the claim in *Muniz* was not a new context. The Supreme Court in *Carlson* had previously permitted deliberate indifference claims, *Carlson*, 446 U.S. at 14, and *Ziglar* had explicitly acknowledged that *Carlson* remained good law. *Ziglar*, 582 U.S. at 147–78. Yet, influenced by *Hernández*, *Egbert*, and *Erie*, the Third Circuit hunted mightily for a minor difference between *Carlson* and *Muniz* in order to justify calling this a new context and therefore denying even this claim. *Muniz*, 149 F.4th at 263–65.

³³⁴ Compare Bradley & Goldsmith, *Customary International Law as Federal Common Law: A Critique of the Modern Position*, 110 HARV. L. REV. 815 (1997) (arguing that customary international law is an invalid source of law for federal courts post-*Erie*) with Harold Hongju Koh, *Is International Law Really State Law?*, 111 HARV. L. REV. 1824 (1998) (arguing that international law is permissible federal law post-*Erie*); see also Young, *supra* note 148 (critiquing the claim that customary international law must categorically be federal common law after *Erie*); Alexander Aleinikoff, *International Law, Sovereignty, and American Constitutionalism: Reflections on the*

engagement with international norms to interpret wholly federal law suffers from the same conceptual and doctrinal defects as in the *Bivens* context.

Those who apply *Erie* in this setting most often take aim at customary international law (CIL), which is generally understood to consist of norms of the international community that emerge from “a general and consistent practice of states followed by them from a sense of legal obligation.”³³⁵ For roughly half a century after *Erie*, courts and commentators largely agreed that the doctrine posed no obstacle to the domestic application of CIL.³³⁶ Such international law norms had long been treated as federal law,³³⁷ and courts routinely interpreted statutes and common law against this backdrop.³³⁸

But in 1997, Curtis Bradley and Jack Goldsmith advanced an influential contrary account of *Erie*’s impact on CIL in their article, *Customary International Law as Federal Common Law: A Critique of the Modern Position*.³³⁹ They argued that “the ascendancy of CIL to the status of common law” is a relatively recent development.³⁴⁰ According to Bradley and Goldsmith, the claim that CIL “is part of this country’s post-*Erie* federal common law”—what they refer to as the “modern position”—emerged as a result of “mistaken interpretations of history, doctrinal bootstrapping by the Restatement (Third) of Foreign Relations Law, and academic fiat.”³⁴¹

Central to their critique is the claim that *Erie* replaced a universal, non-sovereign conception of common law with a positivist one, under which law “does not exist without some definite authority behind it.”³⁴² In their view, after “*Erie*’s abolition of general common

Customary International Law Debate, 98 AM. J. INT’L L. 91 (2004); A.M. Weisburd, *State Courts, Federal Courts, and International Cases*, 20 YALE J. INT’L L. 1 (1995).

³³⁵ RESTATEMENT (THIRD) OF THE FOREIGN RELATIONS LAW OF THE UNITED STATES § 102(2) (1987). In this context, “states” refers to sovereign nation-states, not the individual states of the United States. See *id.* § 201.

³³⁶ See Koh, *supra* note 331, at 1826 (referring to the proposition that international law is federal law as a “hornbook rule”).

³³⁷ See *The Paquete Habana*, 175 U.S. 677, 700 (1900) (“International law is part of our law, and must be ascertained and administered by the courts of justice of appropriate jurisdiction as often as questions of right depending upon it are duly presented for their determination.”).

³³⁸ See, e.g., *Banco Nacional de Cuba v. Sabbatino*, 376 U.S. 398, 423 (1964) (“[I]t is, of course, true that United States courts apply international law as part of our own in appropriate circumstances”); *Texas Indus. v. Radcliff Materials, Inc.*, 451 U.S. 630, 640–41 (1981); *Filartiga v. Pena-Irala*, 630 F.2d 876, 880 (2d Cir. 1980); *United States v. Hasan*, 747 F.Supp.2d 599 (2010); *Igartua-De La Rosa v. U.S.*, 417 F.3d 145 (1st Cir. 2005); *Kadic v. Karadzic*, 70 F.3d 232 (2d Cir. 1995); *In re Estate of Marcos Human Rights Litigation*, 25 F.3d 1467 (9th Cir. 1994).

³³⁹ See Bradley & Goldsmith, *supra* note 199.

³⁴⁰ *Id.* at 821.

³⁴¹ *Id.* at 820–21.

³⁴² *Id.* at 853 (quoting *Erie*, 304 U.S. at 79).

lawmaking by the federal courts,” judges are required to “identify the sovereign source for every rule of decision.”³⁴³ Because CIL does not originate from a single sovereign, Bradley and Goldsmith argued that federal courts may not apply CIL post-*Erie*, absent authorization by the political branches.³⁴⁴

Many scholars responded to defend the use of CIL.³⁴⁵ Perhaps most prominently, Harold Hongju Koh rejected what he called the Bradley and Goldsmith “revisionist” account,³⁴⁶ arguing instead that even after *Erie* “federal courts retain legitimate authority to incorporate bona fide rules of [CIL] into federal common law.”³⁴⁷ In his view, Bradley and Goldsmith mischaracterized the federal courts’ application of CIL as a recent doctrinal innovation, when in fact courts had long applied CIL “without a trace of separation of powers concerns.”³⁴⁸ For Koh, *Erie* “never intended to alter or disrupt” the accepted practice of “federal courts issu[ing] rulings construing the law of nations.”³⁴⁹ This is especially true, Koh observed, because *Erie* had held that state law should govern substantive law in diversity cases only because federal displacement would undermine state policy choices in an area of strong state interest.³⁵⁰ But because foreign affairs are constitutionally committed to the federal government, any determinations regarding CIL arise in an area solely of federal concern.³⁵¹

Nevertheless, Bradley and Goldsmith’s *Erie*-based critique of judicial reliance on CIL soon appeared in Supreme Court opinions. Indeed, in *Sosa v. Alvarez-Machain*,³⁵² *Erie* was invoked (improperly in my view), by both the majority opinion³⁵³ and Justice Scalia’s

³⁴³ *Id.* at 852.

³⁴⁴ *Id.* at 816.

³⁴⁵ See, e.g., Koh, *supra* note 331; Gerald L. Neuman, *Sense and Nonsense About Customary International Law: A Response to Professors Bradley and Goldsmith*, 66 FORDHAM L. REV. 371 (1997); Beth Stephens, *The Law of Our Land: Customary International Law as Federal Law After Erie*, 66 FORDHAM L. REV. 393 (1997); Lessig, *supra* note 144, at 1796–97.

³⁴⁶ Koh, *supra* note 331, at 1824.

³⁴⁷ *Id.* at 1835.

³⁴⁸ See *id.* at 1842 (citing *The Paquete Habana*, 175 U.S. at 678–79; *Sabbatino*, 376 U.S. at 427–28; *Filartiga*, 630 F.2d at 606 n.49).

³⁴⁹ *Id.* at 1842.

³⁵⁰ See *id.* 1831–32.

³⁵¹ See *id.* The Constitution assigns responsibility for foreign affairs almost entirely to the federal government, barring states from entering treaties or agreements with foreign powers, engaging in war except in cases of invasion, or imposing duties on imports or exports without congressional consent. See U.S. CONST. art. I, § 10.

³⁵² 542 U.S. 692 (2004).

concurrence.³⁵⁴ *Sosa* was a case involving the Alien Tort Statute (ATS),³⁵⁵ a federal statute from 1789 that provides a way for non-citizens to sue in federal court for claims based on violations of the “law of nations.”³⁵⁶ The core question raised by the case was how broadly to read the scope of the statute and what sorts of acts might constitute actionable violations of international law today. As with the idea of a *Bivens* remedy, the proper scope of the ATS is a contested question, and reasonable minds can differ about the answer.³⁵⁷ But the key from an *Erie* standpoint is that the ATS is a *federal* statute. Accordingly, the question of the proper scope of CIL in the context of the ATS does not implicate *Erie* because there is no state interest being undermined or displaced.

Justice Scalia’s concurrence, joined by Chief Justice Rehnquist and Justice Thomas, nevertheless invoked *Erie* and cited Bradley and Goldsmith to argue that federal courts lack authority to create causes of action based on CIL, absent explicit congressional authorization.³⁵⁸ Of course, the ATS itself, by referring to the law of nations, might well be seen as precisely that sort of explicit congressional authorization. But the concurrence read *Erie* to create not just a limitation on the use of federal common law to undermine state interests, but as a categorical bar to judicial creation of causes of action based on the law of nations, even with regard to federal statutes.³⁵⁹ As support for this reading of *Erie*, Justice Scalia noted that *Erie* had explicitly repudiated *Swift*’s use of *lex mercatoria*, which he saw as “a subset of the law of nations.”³⁶⁰ But Justice Scalia ignored the fact that *Erie* disapproved of federal courts using *lex mercatoria* to *undermine state law and state interests*. *Erie* said nothing about the use of international law in interpreting federal statutes, and certainly not a federal statute such as the ATS, which explicitly references the law of nations.

Responding to Justice Scalia, the *Sosa* majority also invoked *Erie*. The majority’s discussion of *Erie* began by rightly recognizing that “*Erie* did not in terms bar any judicial

³⁵³ *Id.* at 726 (majority opinion).

³⁵⁴ *Id.* at 740 (Scalia, J., concurring).

³⁵⁵ 28 U.S.C. § 1350.

³⁵⁶ *Id.*

³⁵⁷ See, e.g., Anne-Marie Burley, *The Alien Tort Statute and the Judiciary Act of 1789: A Badge of Honor*, 83 AM. J. INT’L L. 461 (1989); Curtis A. Bradley, *The Alien Tort Statute and Article III*, 42 VA. J. INT’L L. 587 (2002); Anthony J. Bellia Jr. & Bradford R. Clark, *The Alien Tort Statute and the Law of Nations*, 78 U. CHI. L. REV. 445 (2011).

³⁵⁸ See *id.* at 740 (Scalia, J., concurring, joined by Rehnquist, C.J. and Thomas, J.) (citing Bradley & Goldsmith, *supra* note 199, at 824).

³⁵⁹ See *id.*

³⁶⁰ *Id.* at 741.

recognition of new substantive rules, no matter what the circumstances.”³⁶¹ But then the majority opinion did not take the next logical step, which would have been to identify the explicit federalism context of *Erie* and say that the circumstances of *Sosa*—where the Court was interpreting a federal statute—are so far removed from the federalism context that *Erie* poses no bar to judicial interpretation of the statute. Instead, the Court largely adopted Justice Scalia’s reading of *Erie*, but carved out what it described as “limited enclaves in which federal courts may derive some substantive law in a common law way,” even after *Erie*.³⁶² This is certainly better than the concurrence, but it still uses *Erie* far beyond its context to apply to the interpretation of a federal statute.

Alas, Justice Scalia’s skepticism in *Sosa* about international law has developed into a more absolute position: that any judicial application of CIL in any context constitutes impermissible lawmaking forbidden by *Erie*. Among the Court’s current Justices, this logic was articulated most explicitly by then-Judge Kavanaugh in his concurrence to the D.C. Circuit’s denial of a rehearing en banc in *Al-Bihani v. Obama*.³⁶³ *Al-Bihani* raised questions about whether international law could be invoked to constrain the President’s wartime detention authority. However, the President’s authority derived from a federal statute, the 2001 congressional Authorization for the Use of Military Force against al Qaeda after the terrorist attacks on the World Trade Center and the Pentagon.³⁶⁴ Thus, as with the ATS cases, *Al-Bihani* involved an argument about the proper scope of a federal statute having nothing to do with state law. Nevertheless, Kavanaugh invoked *Sosa* while taking the categorical position that *any* judicial reliance on CIL reflects the kind of general common law approach that *Erie* rejected.³⁶⁵ He therefore came to a breathtakingly broad conclusion: Because *Erie* rejected federal general common law, “international-law norms are not enforceable in federal courts unless the political branches have incorporated the norms into domestic U.S. law.”³⁶⁶

Although *Al-Bihani* was not a Supreme Court decision, the views it expressed gained traction in the Court’s subsequent rulings. Over the next decade, individual Justices intermittently advanced this separation-of-powers-based categorical ban across the Court’s international law cases.³⁶⁷ But that position did not crystallize into a controlling rationale until

³⁶¹ *Id.* at 729 (majority opinion).

³⁶² *Id.*

³⁶³ 619 F.3d 1 (D.C. Cir. 2010) (Kavanaugh, J., concurring).

³⁶⁴ *See id.*

³⁶⁵ *Id.* at 11.

³⁶⁶ *Id.* at 10.

³⁶⁷ *See* *Jesner v. Arab Bank, PLC*, 584 U.S. 241, 287 (Gorsuch, J., concurring) (“While this Court has called international law ‘part of our law,’ *The Paquete Habana*, 175 U.S. 677, 700 (1900), and a component of the law of

Nestlé USA, Inc. v. Doe,³⁶⁸ which again addressed the availability of causes of action under the ATS.³⁶⁹ The plurality opinion, written by Justice Thomas, recast the ability to invoke CIL in determining remedies as a question of lawmaking authority.³⁷⁰ Thomas then heavily relied on *Erie*, emphasizing that the Court’s recent cases invoking the doctrine had “stress[ed] that judicial creation of a cause of action is an extraordinary act that places great stress on the separation of powers.”³⁷¹ He reiterated the now-familiar refrain that “[a]lthough this Court in the mid-20th century often assumed authority to create causes of action, in later years we came to appreciate more fully the tension between this practice and the Constitution’s separation of legislative and judicial power.”³⁷² In the plurality’s view, the intervening precedents between *Sosa* and *Nestlé* rendered the standard for recognizing non-textual causes of action, including those grounded in CIL, “extraordinarily strict”—to the point that the Court has “yet to find it satisfied.”³⁷³ Thus, *Nestlé* signals the effective demise of CIL as a meaningful source of federal judicial lawmaking, with *Erie* increasingly cast as the doctrine delivering the final blow. And all this despite the fact that not a single one of these international law cases involved the displacement of any state statutes or state interests at all.

CONCLUSION

From the point of view of legal pluralism, it is not at all clear that the *Erie* regime is actually an advance over *Swift* because there are advantages to having both state and federal courts co-evolve legal rules in dialogue with each other. However, to the extent federal judges were consistently undermining state policy choices in their articulation of general federal common law, then perhaps *Erie* was a necessary corrective.

But if we are to address *Erie*’s concerns about state sovereignty while still accommodating federal interests and the Supremacy Clause, then we must make sure that we always balance the federal interest in the procedural justice of federal courts against the fundamental policy choices of the state, especially, as Justice Harlan recognized in *Hanna*,³⁷⁴ in

the land,’ *The Nereide*, 9 Cranch 388, 423 (1815), that simply meant international law was no different than the law of torts or contracts—it was ‘part of the so-called general common law,’ but not part of federal law.”); *Hernández*, 589 U.S. at 100 (Alito, J.).

³⁶⁸ 593 U.S. 628 (2021) (opinion of Thomas, J., joined by Kavanaugh, J. and Gorsuch, J.).

³⁶⁹ *Id.*

³⁷⁰ *See id.* at 631, 635, 637.

³⁷¹ *Id.* at 636.

³⁷² *Id.* at 636–37.

³⁷³ *Id.* at 637.

cases where the primary pre-litigation behavior of individuals and corporations occurs against the backdrop of the state law. Of course, it is not always easy to accommodate both sets of interests. As noted at the outset, the proper *Erie* analysis as I envision it resembles the interest analysis that Brainerd Currie famously introduced into U.S. choice-of-law analysis,³⁷⁵ which is often difficult to apply.³⁷⁶

But no other approach takes seriously the legal pluralism at the heart of diversity jurisdiction's dual sovereignty regime. Thus, we should surely not require federal courts in diversity cases to do absolutely everything precisely as state courts do. After all, federal courts have their own sovereign powers and their own sovereign interests in the procedures of their court system. But likewise we should not allow the mere existence of a possibly relevant federal rule of procedure to undermine important policy-laden state sovereign choices. So, instead of lurching from one jurispathic extreme to the other, we need a thoughtful weighing of the interests of the two legal systems involved, in order to try to effectuate the core choices of both. From a pluralist point of view, *Erie* should neither disable federal law nor disable state law. Instead, it allows each to operate in their spheres. And when they seem to conflict, *Erie* asks for nuanced contextual balancing of interests, along with efforts to accommodate both sets of interests in hard cases.

Finally, taking seriously the legal pluralism and federalism concerns at the heart of *Erie* also means that we should not deploy *Erie* to short-circuit potential federal rights and remedies when state interests are not implicated at all. It is true that Justice Brandeis said that there is no federal general common law, but he used that phrase in a very specific context and to address a very specific federalism problem. Thus, when facing questions of purely federal constitutional or statutory law, *Erie* should not be a relevant factor.

Federalism is messy and difficult, but it instantiates the plural nature of American democracy and provides opportunities for multiple voices and multiple sites of contestation. Indeed, the whole concept of federal court diversity jurisdiction embodies the jurisgenerative possibilities of dual sovereignty. Accordingly, *Erie* should always be interpreted with both a fundamental respect for, and appreciation of, the legal pluralism at the heart of American federalism.

³⁷⁴ *Hanna*, 380 U.S. at 475–76 (Harlan, J., concurring).

³⁷⁵ See *supra* note 42 and accompanying text.

³⁷⁶ See John Hart Ely, *Choice of Law and the State's Interest in Protecting Its Own*, 23 WM. & MARY L. REV. 173, 207 (1981) (noting that closer examination of asserted state interests often reveals genuine conflicts where interest analysis offers no clear solution).